PCBL Chemical Ltd. (NSE: PCBL) — Company Dossier — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to PCBL Chemical Ltd. (NSE: PCBL) – Company Dossier: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

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CONTENTS

A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

The Business, The Price & Our Independent Verdict	PROLOGUE
How the Business Got Here – Pivots & Cycles	CHAPTER I
Inside Every Segment – Products, Customers & Real-World Examples	CHAPTER II
How It Is Sold & Delivered – Distribution & Unit Economics	CHAPTER III
The Battlefield – Rivals, Switching Costs & Moat Reality	CHAPTER IV
Management on Trial – Leading KPIs & Walking the Talk	CHAPTER V
Following the Cash – 10-Year Financials & Earnings Quality	CHAPTER VI
Why the Stock Trades Here – Market Expectations vs. Peers	CHAPTER VII
Reading the Tape – Trend, Volume & Momentum Opportunity	CHAPTER VIII
Bull vs. Bear, Likely Outcomes & Our Action Plan	CHAPTER IX

SESSION PRICE

₹282.55

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

NOT HELD — 0 shares in the positions ledger; no current holding to trim or exit.

STAGE POSTURE

STAGE_4

VALUATION WATCH ZONE (CONDITIONAL)

₹205.00–225.00

TWO-YEAR SCENARIO RANGE

Bear ₹137.00 / Base ₹281.00 / Bull ₹462.00

PREFACE & CORE THESIS

PCBL Chemical is India's largest carbon black maker, with a specialty-chemicals arm, captive power and 900 ktpa of capacity . The price-blind business verdict is CYCLICAL_CONDITIONAL: record FY2026 volumes and clean audits, but returns near 8% and net debt near four times EBITDA . New capital is REJECTED at the 13 November 2026 close of ₹282.55, because our probability-weighted two-year value is about ₹278 and the stock is in a broken trend . A watch zone of ₹205–225 with a cancel level at ₹190 is a re-underwrite trigger, not an order. PCBL is not held, so the holding action is NOT_HELD and the next marginal cash unit stays in cash; status PUBLISHED_WITH_GATE_EXCEPTIONS.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *""“Volume-led growth, with a continued focus on margin improvement.”"*
>
> — PCBL CHEMICAL LIMITED, Q2 FY27 INVESTOR UPDATE, 2 NOVEMBER 2026

Let me start with the simplest picture. Look at a tyre. The reason it is black, and the reason it survives thousands of kilometres of friction, is a fine powder called carbon black, made by burning heavy oil in a furnace under tight control. PCBL Chemical is India's largest maker of that powder. It also turns the hot gas that comes off its furnaces into electricity and sells the surplus, and since the Aquapharm acquisition in 2024 it sells water-treatment and oil-field chemicals as well. Nine plants, 900 thousand tonnes of carbon black capacity, and a Kolkata promoter group behind it. That is the business you and I are underwriting.

Now the question every investor asks first: is it worth buying today? My answer is no, and I want to be precise about why, because the answer is about price and evidence, not about the company being bad. At the close on 13 November the stock was ₹282.55. When I take the three futures I can honestly describe, a hard bear year at ₹137, a base recovery at ₹281 and a strong bull at ₹462, and weight them 30%, 48% and 22%, the answer is about ₹278. The price is already 0.7% above the base case and 1.8% above that weighted value. You would be paying for the good outcome in advance and keeping all of the bad one.

Why is the base case only ₹281? Because the numbers I can verify tell a story of a good franchise doing ordinary work with a heavy balance sheet. In the first half of this financial year the company reported ₹710 Cr of EBITDA against ₹603 Cr a year ago, which sounds like a recovery. But about ₹70 Cr of that was inventory gains and about ₹33 Cr was a one-off tariff refund. Strip those out and the half is roughly level with last year. Meanwhile net debt sits near four times LTM company EBITDA (3.95 times, with total debt at 4.15 times on the rating agency's basis), three rating agencies carry a Negative outlook on the AA rating, and the Aquapharm business bought for about ₹3,800 Cr earned ₹162 Cr last year against the ₹250 to ₹300 Cr the CFO described at signing.

Then there is the chart, and here I want you to hold two thoughts. The business has real strengths, including record carbon black volume in FY2026, power sales, port-side plants and clean audits. The tape does not care. The stock lost its 30-week average in the week of 23 October on more than twice normal volume, sits about 14.8 points behind the Nifty over 63 days in a market where 61% of stocks are above their 50-day average, and has no confirmed turn on the four-hour chart. When a stock lags a healthy market like that, the market is usually telling you that someone with more information is selling.

Could the shelf at ₹250 to ₹258 be a place to buy? I tested it, and this is the kind of honest arithmetic I want you to see. Buy at the top of the shelf and the probability-weighted value gives you about 8% over two years. The stop the scanner suggests would sit barely one rupee under the bottom of the shelf, less than a day's normal movement, so the reward-to-risk ratio that looks attractive on paper is built on a stop that ordinary noise would trigger. At the 52-week low as the stop, the same trade is 0.75 to 1. That is why I do not call ₹250 support; I call it a pause on the way to a price that pays you properly.

What price pays? A watch zone of ₹205 to ₹225. At ₹225 the weighted value gives you about 23% over two years, at ₹205 about 35%, and the entry multiple falls to roughly 10 times next year's base-case EBITDA, which leaves room for the bear case. A weekly close below ₹190 cancels the idea. I stress this is a place to re-underwrite, not a standing order; the facts could change before the price gets there.

What about you, the owner? You hold no PCBL, so there is nothing to sell and no stop to set. The next marginal rupee stays in cash. I checked the shortlist and the outside names I screened: AJMERA has a clear technical scan, but it is slightly above its own entry band and its dossier, not this one, governs. Good entry prices come around more often than good businesses do, so patience costs little. If the stock proves me wrong by recovering above ₹306 on volume, or if the next quarter shows carbon black earning at least ₹17,000 per tonne on solid volume with debt falling, I will happily change my mind and write the new numbers down.

Before we begin the chapters, remember what they will show you. First the history and segments, then how the product is sold and what a rupee of revenue turns into, then the competition and the management record, then ten years of cash. After that, the price, the

chart and the decision. Each chapter has a job; none of them is padding. Read them with one question in your mind: what would I need to see to believe that the cash from this business, not just the profit, will compound?

> **NARRATOR'S REFLECTION**
>
> A fair price for a conditional business is not the same as a good price. The discipline is to separate three questions: is the franchise real, is the recovery priced, and is the tape confirming? PCBL answers yes, yes and no. We write down the levels now so that we do not move the goalposts when the stock moves.

CHAPTER I

How the Business Got Here — Pivots & Cycles

> *"“We have to shift platforms from Carbon Black.”"*
>
> — DR SANJIV GOENKA, CHAIRMAN, PCBL CONFERENCE CALL ANNOUNCING THE AQUAPHARM ACQUISITION, 28 NOVEMBER 2023

Come with me to the gate of the Durgapur plant on 5 June 1962. A company incorporated two years earlier, in collaboration with Phillips Petroleum of the United States, lights a furnace that will turn carbon-rich oil into 14,000 tonnes a year of fine black powder. Inside the reactor, at 1,400 to 1,900 degrees Celsius, the oil cracks in a few milliseconds; a water spray stops the reaction; bag filters separate the powder from the gas; and the powder is pelletised with a molasses solution. The leftover gas, which has a calorific value of about 650 to 700 kilocalories, is burned for steam and power. That powder is what makes a tyre black and, more importantly, what lets rubber survive tens of thousands of kilometres. You and I will spend several chapters on it, so fix one idea now: this company's whole story is capacity, how it is built, bought and filled, and a cycle, the way the spread between feedstock cost and selling price swings the profit.

Look at how the capacity arrived. Durgapur needed 33 years to reach 78,000 tonnes. Then, between 1996 and 1998, the company bought Palej from Gujarat Carbon and absorbed Kochi, and by 2013 its own chart shows 472,000 tonnes, six times the 1995 level. The port-side Mundra plant of October 2009 was the bold greenfield step. A long plateau followed, only 1.28 times between 2013 and 2021, and then a new burst from 603,000 tonnes in 2021 to 880,000 in FY2026. Here is something an analyst learns to check: what the nameplate hides. In FY2019, the boom year, the plants ran at 92.4 percent of what the company calls effective capacity, yet only 77.7 percent of installed. If someone quotes you a utilisation number, always ask which denominator they are using.

Now let us walk through the money cycle between 2015 and 2021, because it teaches the most for the least cost. In FY2016 revenue fell 23 percent, yet margin rose and cash flow from operations was ₹422 crore on an operating profit of only ₹165 crore. I could not find a

company document that explains that year, so I will say only what the pattern suggests: a formula-priced business whose input prices fell. Then the boom, FY2017 to FY2019: operating profit up from ₹265 crore to ₹616 crore, return on capital employed from 11 to 25 percent, plants nearly full, anti-dumping duty still shielding the market. A press report in January 2018 caught the mood, quoting third-quarter profit almost four times higher “riding on the back of higher sales and better capacity utilisation”. That duty lapsed at the end of 2020, when the Finance Ministry declined to extend it, so every cycle since has been fought without that fence.

Covid is the year that should change how you read this company. In FY2021 revenue fell 18 percent, and operating margin hit 19.4 percent, the best of twelve years. How? Cheaper feedstock took materials from 67.5 percent of revenue to 60.5. Volume had barely moved, down 4.3 percent. So which number would you have been staring at, revenue or spread? Then came FY2022 and FY2023, when revenue rose 67 and then 30 percent. The Managing Director, Kaushik Roy, put the mechanism plainly on 15 May 2023: “The raw material price increase, we are kind of immune to cost increase or decrease because in most cases, we have a formula understanding with our customers.” Notice what he did not say. Immune in rupees per tonne, yes; immune in margin percentage, no, because revenue swelled while the spread did not, and working capital swallowed the cash. Free cash flow was negative in both years while the Chennai greenfield went up.

Between the Covid year and the Aquapharm deal there is a quieter story you should not skip, because it shows how this company behaves when it builds. In October 2021 it raised ₹400 crore from institutions without naming a project. In 2023 the Chennai greenfield began producing: 63,000 tonnes in phase one, 147,000 tonnes on three lines by 2024, for about ₹950 crore including its own power plant. Mr Roy was candid about the ramp on 15 May 2023: Chennai would run at roughly 40 to 50 percent of capacity that year, and “It honestly depends on the approval process of different customers and the time required for that.” That sentence is the moat and the weakness in one. A tyre maker must approve each grade from each plant before it buys, which slows any rival, and it also means that new capacity does not fill by itself. By FY2026 the Chennai subsidiary earned ₹36 crore of profit after tax, about 3.8 percent of what the plant cost. Capacity is built quickly; returns arrive slowly.

On 28 November 2023 the Chairman, Dr Sanjiv Goenka, called the market within an hour of signing a share purchase agreement for Aquapharm, a Pune-based phosphonate maker, at ₹3,851 crore. He said the sellers, a joint venture between two families, wanted to cash out, that three parties had bid, and that PCBL had been clear it would not go above its number. He said both companies were debt free, that PCBL would borrow first and that over 30 months the combined cash flow would repay it all. And then came the line I find most revealing about the man and the company: “I am personally very debt averse. I have said that time and time again. I’m uncomfortable when we have debt. I frankly don’t get sleep if we have debt.” Hold that sentence in your mind, because the next two years tested it.

An analyst on that call, Abhijeet Bora, asked the question every sceptic would ask: at nine to ten percent on borrowed money, would Aquapharm’s EBITDA simply “be absorbed by the interest itself”? The Chairman’s answer was that this was true for the first year, but “for the first full year that we have Aquapharm, we do believe that we will be bottom line and margin accretive.” Here is what then happened. In FY2024 only two months of Aquapharm were consolidated, so profit looked fine at ₹491 crore, while borrowings jumped from ₹1,029 crore to ₹4,983 crore and quarterly interest went from ₹33 crore to ₹108 crore. In FY2025 the first full year brought record EBITDA of ₹1,384 crore and, as Mr Roy told the call, the “best ever operational performance”, yet PAT fell to ₹435 crore because interest and depreciation had grown so much.

Do the arithmetic with me. The Chairman’s forecast for Aquapharm’s EBITDA was ₹380 crore, ₹430 crore and ₹525 crore for FY2024, FY2025 and FY2026. The CFO told investors on 23 May 2024 that Aquapharm “on a full year basis is going to add another 250 to 300 crore”. The actual numbers were ₹194 crore for FY2025 and ₹162 crore for FY2026, which is 45 percent and 31 percent of the forecast. Management itself said, on the 29 April 2025 call, that “FY '25 was a bit challenging year for Aquapharm”, blaming a yellow-phosphorus crisis. And there is a quieter clue in the FY2025 annual report: its pro forma disclosure implies that Aquapharm’s revenue for the twelve months to March 2024 was about ₹1,553 crore, a quarter below the ₹2,045 crore described on the call. The deal case was built on a number that had already slipped. I would not call that deception, because I see no evidence of it. I would call it the oldest mistake in acquisitions: pricing a business off its best recent year.

To be fair, weigh both sides. The bull case says PCBL bought a global specialty platform with more than 265 customers, the new chief executive talks sensibly about utilisation and mix, and H1 FY27 EBITDA of ₹89 crore was up 47 percent. The bear case says the margin fell from 13.7 to 11.2 percent, the guidance has been trimmed, the segment earned 0.4 percent pre-tax on its assets in FY2026, and the leadership changed within a year. An analyst put it bluntly on the 3 February 2026 call: “we have not been able to ramp up Aquapharm, like it has been a very long period of time now.” On the record to date I weigh the bear case heavier, and I put perhaps a one-in-four chance on Aquapharm reaching the old ₹250 crore EBITDA level within two years. You can put your own number on it, but put one.

FY2026 is where the threads meet. Record volume of 618,956 tonnes, and PAT down 54 percent to ₹198 crore. In the December quarter profit was ₹2 crore. Spread per tonne had fallen from ₹19,930 to ₹14,939, and that single number explains almost everything. Managing Director Nilesh Koul said on 30 April 2026: “Spread appear to have found a floor, exit quarter momentum has turned positive.” The first half of FY27 then brought profit up 47 percent on 9 percent lower volume, and I want you to hold the same suspicion you hold for any rebound: about ₹70 crore of inventory gains in the first quarter and a ₹33 crore tariff refund in the second. Take those out and my estimate is that half-year EBITDA of about ₹607 crore is flat on last year’s ₹603 crore. The CFO’s remark of 2 November 2026 carries the discipline: “We are not chasing volumes. We would rather keep this capacity spare.” That is a sound instinct for a price-taker, and it is also an admission about what the spot market is paying.

The balance sheet noticed. ICRA revised its outlook on PCBL’s AA rating to Negative on 12 February 2026, saying the pressure on profitability was “likely to persist over the next few quarters” and that the “continued weak performance” of Aquapharm would add to it; CARE made the same move on 7 July 2026. Neither agency questions liquidity, and no default or covenant breach is reported, though the annual report notes that deferment of financial covenants was obtained where needed. The point for a long-term owner is simple: the room for further error is thinner than it was in 2023, when the company said it was debt free.

One more pivot deserves a raised eyebrow: batteries. On 15 May 2023 Mr Roy said the battery-grade carbon was still in the laboratory: “I guess we will be there very soon.” By 28

November 2023 the Chairman told investors that the next phase would be “chemicals, which go into electric vehicles”. The Nanovace joint venture followed in March 2024, with ₹228 crore of convertible debentures invested over two years, and a pilot plant that was due “in the next few months” in April 2025, “within the coming weeks” in April 2026, and finally “started creating some samples” on 2 November 2026. The segment has no revenue and a loss of ₹0.15 crore. Does that mean batteries will fail? No. It means that three and a half years after “very soon” the company is at the sampling stage, while a leader such as Sila opened its first US factory in September 2025 after fourteen years of research. Treat batteries as an option, and price it at what you have already seen it cost: time and capital.

Finally, the people, because history is made by them. The business moved from its Phillips Petroleum origins to the RPSG Group, where Dr Goenka has sat on the board since 1986. Kaushik Roy ran it as Managing Director from February 2019 through the build-out, the Aquapharm deal and the peak, then resigned on 3 November 2025, 17 days after leading the Q2 FY26 call. Nilesh Koul came from Hindalco’s aluminium downstream business, so he is an operator without a carbon black background, which may be a strength or a gap. Note a correction that confuses many readers: Rohit Narang is the chief executive of Aquapharm only, from May 2026; the group is run by the Managing Director. The promoter group put in ₹448 crore through warrants and now holds 53.37 percent. The CFO, Raj Gupta, has been on every call for more than four years, which is the steadiest thing in this story.

So what do you carry from this chapter into the next? Three things. First, spread per tonne, not revenue, explains profit in every cycle since 2015. Second, the plants arrive late but arrive, while the promises tied to new businesses and to balance-sheet repair have slipped. Third, the company you are judging today is a group of three platforms with a ₹4,825 crore debt load, earning a pre-tax return on capital of about 8 percent against a cost of debt near 7.8 percent. Chapter 2 now opens each platform and asks what a customer would ask: who buys this, why, at what price, and how is it made?

NARRATOR'S REFLECTION

I keep coming back to the pro forma number: about ₹1,553 crore of Aquapharm revenue for the year to March 2024 against ₹2,045 crore described at signing. A deal case is a promise about the future built on a photograph of the past, and this photograph was taken near the top of the cycle. The lesson is not that the buyer was foolish. It is that when a company pays for a cyclical business at its best recent earnings, using debt at a fixed cost, the margin for error is only as wide as the next downturn.

NARRATOR'S REFLECTION

Notice how the company's cleanest successes are the ones you can pour concrete for: Mundra, Chennai, the specialty lines. They arrive a few quarters late but they arrive. The promises that missed were about things that cannot be poured: a new business's earnings, a debt schedule, a battery pilot. When you read management guidance, ask which kind of promise it is before you decide how much weight to give it.

MENTAL MODEL • SPREAD, NOT REVENUE

In a formula-priced commodity business, revenue is the sum of two things: a pass-through of feedstock cost and a margin per tonne. Only the second belongs to owners. When you read a cycle, convert revenue into spread per tonne first. In FY2026 revenue fell 3 percent while EBITDA per tonne fell 25 percent, and the second number was the real news.

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"“While the tyre business is based on pass-through, in the non-tyre business in India, we have been successful in increasing prices over the last few months.”"*
>
> — NILESH KOUL, MANAGING DIRECTOR, PCBL CHEMICAL Q4 FY26 EARNINGS CALL, 30 APRIL 2026

Imagine standing at the Mundra plant gate, watching a tanker discharge feedstock oil. Everything this company sells starts with a version of that oil, and the difference between the segments is what happens next. Let us follow the largest stream first: tyre carbon black, about 57 percent of what PCBL sold in FY2026. The oil is atomised into a reactor at 1,400 to 1,900 degrees, cracks in a few milliseconds, is quenched with water, filtered out of the gas, and glued into small pellets with molasses. Then it is loaded onto a truck or a railcar for a tyre maker, who needs it at the factory just in time. Carbon black is about 28 percent of a tyre’s weight, and fine grades such as N330 make the tread resist wear, while coarser N660 builds the carcass. Who exactly buys? Our filings do not say. An older vendor profile names CEAT, MRF, Apollo and others, and the company reports an award at the CEAT Vendor Meet 2026, but the only firm number is that customers above ten percent of revenue paid ₹1,958 crore in FY2026, nearly a quarter of group revenue.

How is that carbon black priced? Here I want you to hear it from the Managing Director, Nilesh Koul, on 30 April 2026: “Some are Q minus 1, some are M minus 1. So, there are different pass-through mechanisms.” In plain words, the contract price follows the feedstock cost with a lag of a quarter or a month. “There is also a significant piece of volume,” he added, “which is based on spot pricing.” Management says close to a third of volume is spot. What does that mean for you as an owner? That the contract base gives PCBL a spread per tonne, but the swings, and the profit above that spread, come from the spot third, from exports, from specialty and from power. And the share under multi-year written contracts? Not disclosed, which is itself information.

Before we go further, step back and see where the profit lives, because the brochure and the audited note tell different stories. The audited segment note says carbon black was 79.5

percent of FY2026 revenue and 73.8 percent of segment profit, but its profit before interest and tax fell from ₹1,042 crore to ₹721 crore in a single year while its revenue fell only 4 percent. Power was 2.9 percent of revenue and 24.4 percent of segment profit. Aquapharm, the chemicals segment, was 17.6 percent of revenue and 1.8 percent of profit. The Integrated Report also prints a pie chart of 50 percent tyres, 27 percent performance, 13 percent water and oil chemicals and 10 percent specialty, on a basis it does not explain, and it cannot be reconciled with the audited note. When two documents from the same company disagree, which do you trust? The one that auditors signed. And for EBITDA by segment? Not published, except for Aquapharm: 14.0 percent of group EBITDA in FY2025, 15.0 percent in FY2026 and 12.5 percent in the first half of FY27, always less than its share of revenue because its margin is lower.

Keep one habit as you read the next few paragraphs. For each product, ask four plain questions: who buys it, what problem does it solve for them, what exactly do they order, and who sets the price? A company that can answer all four in writing usually has a business; a company that can only answer the first with a logo slide usually has a story. PCBL answers the second and third very well, the fourth partly, and the first rarely, because it names almost no customers. That is not unusual for an industrial supplier, but it limits what you and I can verify, and I will say so each time.

Performance chemicals are the next stream, and they surprised me. This is non-tyre rubber black: the filler in conveyor belts, hoses, seals, shoe soles and anti-vibration mounts. Its share of PCBL's volume went from 21 percent in FY2023 to 31 percent in FY2026, doubling in tonnes, while tyres grew only 4 percent a year. So the story that PCBL is moving up to specialty is only partly true; the bigger move was into industrial rubber blacks, which are sold more on the spot market and which the company does not give a margin for. When the first half of FY27 forced a choice, this was the volume it cut most, down 15.6 percent. Mr Koul's remark in the epigraph explains why: in tyres the price is a pass-through, but in non-tyre markets it is not, and in recent months it has risen.

Specialty black is the part I would want to own. Think of a European compounder making food-contact plastic, or a coatings maker needing a jet-black pigment for car paint. For them the product is a grade with a certificate, such as US FDA 21 CFR 178.3297 or the EU food-

contact regulation, and a customer must qualify it before it buys. The CFO, Raj Gupta, told investors in October 2023 that PCBL makes "2 to 2.5x of our tyre grade margin" on specialty, and Orion's own filing shows about $440 a tonne against $282 for rubber black. If performance chemicals earn the tyre rate, my arithmetic says specialty is about 11 percent of volume and 20 to 24 percent of carbon black and power EBITDA. But look at the constraint, in Mr Koul's words on 2 November 2026: "the capacity that we have is around 75 … feedstock, which is unique for Specialty Chemicals. So that is the barrier." The nameplate says 132,000 tonnes; the working number is about 75,000. Supply, not demand, is the limit.

Power is the quiet one. Every reactor produces a hot gas that can burn, and PCBL burns it to make steam and electricity: 122 megawatts across five plants, 839 million units in FY2026, of which 511 million were sold. The CFO put it simply on 2 November 2026: about 40 percent is used captively and 60 percent is available for sale, so "higher realization actually pushes up the bottom line for us." The result is striking: power was 2.9 percent of revenue and 24.4 percent of segment profit in FY2026, a 41 percent pre-tax return on its assets. Two cautions. Its profit tracks carbon black output, which fell in the second quarter, and about 71 percent of the parent's power sales went to related parties, which I will examine in Chapter 6.

Now ask where these products go, and where they are made. About 44.5 percent of FY2026 revenue came from customers outside India, and Aquapharm alone is about 83 percent overseas, with North America half of its revenue. Carbon black exports were 38 percent of volume in FY2026 and were deliberately cut to 31 percent in the second quarter of FY27, because the CFO preferred to let low-margin Southeast Asian orders go. The five carbon black plants are Durgapur, the oldest, at 163,000 tonnes; Kochi at 93,000; Palej at 142,000, which also houses the research centre and the new super-conductive line; Mundra at 245,000, beside the port; and Chennai at 237,000, which alone is 27 percent of the capacity. Together they total 880,000 tonnes, or 900,000 after the Mundra specialty line, against FY2026 production of 619,458 tonnes, which is about 70 percent of the year-end figure. For Aquapharm, one page of the same annual report says 167,000 tonnes and another says 256,747, so utilisation is either 57 percent or 37 percent. I cannot reconcile the two, and I will not pretend to.

Now cross the road to Aquapharm, and let me start with a ₹20 crore refinery cooling-water contract, because India's trade-remedy authority wrote it down. A cooling circuit scales up and corrodes unless it is dosed. At 3 to 5 parts per million, the operator adds 108 to 180 kilograms of HEDP a day, which at the ₹94 a kilogram Chinese landed price costs ₹37 to 62 lakh a year, under 3.1 percent of the contract. That is Aquapharm's core water-solutions business: phosphonates that bind calcium and iron so scale cannot form. Is it a good business? The Authority's own findings say Indian producers made cash losses on HEDP and ATMP in the period because Chinese imports landed below their cost of sales; it recommended duties of $200 and $214 a tonne in September 2026. The Aquapharm CEO, Rohit Narang, told analysts on 2 November that "antidumping in India, that's provisional right now" and that he has built none of it into the forecast.

Water solutions volume fell 12 percent in FY2026, and oil and gas fell 19.5 percent. The oil and gas story is the one I would watch most closely for disappointment. Its customers are American oilfield service companies who need corrosion inhibitors, biocides and scale inhibitors for fracturing and drilling, and qualification with them takes time. Management said in April 2026 that drilling should rise about 30 percent at current crude; by July Mr Narang was describing "customer inventory overhangs", and first-half FY27 volume was down 28 percent. Aquapharm said in August 2024 that it had less than one percent of this global market. That is a growth option, and also the reason a 25 percent slice of Aquapharm's volume is the least certain 25 percent.

The most appealing line is home care and its green chelates. A laundry-detergent maker, whether Procter & Gamble, Henkel or Unilever, needs a chelating agent to tame hard water, and phosphonates have done it for decades. But Europe is shifting to biodegradable alternatives, GLDA and MGDA, and the Chairman said on 28 November 2023 that the plan was to lift green chelates twenty-fold from 3,300 tonnes in five years. By February 2026 Aquapharm announced its first formal GLDA allocation from P&G, and by July the company said order booking was "running ahead of our current capacity." That is progress, and it is also a long way from twenty times. In detergent the chelant is a fraction of one percent of product cost, so once approved a supplier is sticky, but approval is what takes years.

Last, batteries, and I want you to feel the physics. Silicon holds about ten times the charge of graphite, but it swells up to 300 percent when it charges, so a battery maker cannot simply use it. PCBL's answer is Nanovace, a 51 percent joint venture, making nano-silicon in a pilot at Palej, now moving to silicon-carbon composites, plus super-conductive carbon blacks and, later, acetylene black from Mundra. Management's targets are eye-catching: about $20,000 a tonne of realisation for the super-conductive grade and roughly ₹1,700 crore of revenue from a 2,000-tonne nano-silicon plant at full use, which works out at ₹8.5 crore a tonne. No customer has validated any of it. The segment lost ₹0.15 crore in FY2026 and holds ₹246 crore of assets. Call it an option, and an expensive one in time.

So where does the money actually come from? My honest ranking has four tiers. First, tyre and performance blacks supply the volume and a thin spread. Second, specialty black and power supply the quality: perhaps a fifth to a quarter of EBITDA from specialty, and a quarter of segment profit from power. Third, Aquapharm supplies ₹1,443 crore of revenue but only a 0.4 percent pre-tax return on ₹4,226 crore of segment assets in FY2026. Fourth, batteries supply hope. I put about one chance in four on Aquapharm reaching ₹250 crore of EBITDA within two years, and no better than one in five on silicon reaching commercial supply by FY2029. Those are judgments, not facts, and the evidence that would change them is listed in the trigger above.

Notice what ties these seven examples together: in every one, price is set by something outside PCBL's hands, whether feedstock, grid tariffs, Chinese landed prices or a rig count, and what PCBL controls is the grade, the qualification and the plant. In Chapter 3 we turn to how those products reach customers, how the pass-through formula and the working-capital cycle work, and what a ₹100 of revenue becomes by the time it reaches free cash flow.

> **NARRATOR'S REFLECTION**
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> I find the DGTR's cooling-water arithmetic the most useful number in this chapter. A ₹20 crore contract spends perhaps ₹37 to 62 lakh on the chemical that keeps the circuit from scaling. The chemical is cheap relative to what it protects, so buyers care more about reliable supply and proven quality than about a saving of a few rupees a kilogram. That is exactly why switching is slow in specialty chemicals and also why Chinese landed prices below cost can still hurt: the buyer will switch for a lower price only until the first quality failure.

NARRATOR'S REFLECTION

Look at who gets the label ‘specialty’. PCBL’s specialty black is 11 percent of volume and perhaps a fifth of carbon black EBITDA, a real premium. Aquapharm’s ‘specialty chemicals’ are 17.6 percent of revenue and 1.8 percent of segment profit. The word on the brochure tells you nothing about the return; only the segment note does.

MENTAL MODEL • ENGINE, QUALITY, TURNAROUND, OPTION

Sort every segment of a diversified industrial into four boxes: the engine that supplies volume and thin spreads, the quality contributor that lifts per-tonne returns, the turnaround that has capital invested but a return below its cost, and the option that costs time and has no revenue. Then ask of each box what evidence would move it up or down. For PCBL the answers are specialty margins disclosed, Aquapharm segment profit above ₹100 crore, and a named battery customer.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"“And we are not chasing volumes. We would rather keep this capacity spare.”"*
>
> — RAJ GUPTA, CHIEF FINANCIAL OFFICER, PCBL CHEMICAL, Q2 FY27 EARNINGS CALL, 2 NOVEMBER 2026

Let us begin at the gate of a plant instead of in a spreadsheet. Picture a lorry arriving at PCBL's Mundra works, which sits beside a port. Behind it, somewhere in a tyre factory, a production planner has noticed that his stock of carbon black is down to a few days. That is how this business works. Domestic tyre makers, the MD told analysts on 30 April 2026, keep only about three to seven days of cover. So PCBL is not selling into a warehouse; it is part of someone else's production schedule, and the product, a fine black powder that makes up roughly a quarter of a tyre's weight, has to arrive on time or a line stops. Now ask who that planner works for and how the price on the invoice got set. PCBL does not sell through dealers. A 2021 placement document recorded almost nine-tenths of sales as direct, a sales force of only 41 people, and a top five of customers that took more than half of revenue. The FY2026 accounts still show one or two customers, each above ten per cent of group revenue, paying ₹1,958.55 Cr, nearly a quarter of everything the group sells. You and I should hold that fact in mind for the rest of this chapter, because it explains why PCBL talks about contracts, formulas and pricing discipline in almost every call.

The contract is the part most investors misread, so let us be careful. The tyre makers do not pay a fixed price. They pay a formula that follows feedstock, with a lag. The MD put it plainly on 30 April 2026: “Some are Q minus 1, some are M minus 1.” That means the price this quarter is built from the cost of last quarter, or last month. When crude rises, PCBL's costs jump before the formula catches up and the margin squeezes. When crude falls, the formula is slow to cut, and the company enjoys a gain on stock. Q1 FY27 was exactly that: Brent averaged $97, the spot third of the book captured “strong realizations”, and the CFO told investors on 29 July 2026, “This quarter we have some extraordinary benefit of low-cost inventory, which is unlikely to be repeated in subsequent quarters.”

Here is the subtlety, and I want you to hold on to it. A formula decides price, not quantity. In 2021 the company itself wrote that its customers typically did not sign long-term supply agreements and bought by purchase order. By 2026 the annual report speaks of formula-based contracts with tyre majors. Both statements can be true, and the company has not told us what share of tonnes is committed. In Q2 FY27 tyre-grade volume fell 17 per cent from a year earlier and almost 15 per cent from the previous quarter. Management says some customers had stocked up in Q1 and then destocked. That is what an uncommitted buyer does, and you should treat the pricing formula as protection for the spread, not for the volume.

The second half of the story is feedstock. Carbon black is made by cracking a heavy oil, called carbon black feedstock, in a furnace. That oil is ninety to ninety-five per cent of PCBL's material cost, and about ninety per cent of it is imported, with the company reporting that 75 to 80 per cent comes from the US Gulf Coast. When the West Asia conflict began in February 2026, ships rerouted around the Cape of Good Hope, adding at least fourteen days, and Brent went from about $60 in early January to above $100 by the end of March. Freight costs rose too: outward freight was ₹206.70 Cr in FY2026, up almost a fifth. You can see why the MD, on 2 November 2026, called the shipping bill the reason PCBL is "selective while logistics costs make the economics less attractive."

That sentence turns a supply-chain problem into a pricing decision. On the same call he admitted that, for exports, "in some cases, we don't have freight on a pass-through basis." So when a Sri Lankan or Vietnamese spot buyer asks for a quote, the company computes what is left after feedstock and freight. If it is thin, the order goes. The CFO described exactly this: the volume fall was "primarily a margin decision", and "we are not chasing volumes. We would rather keep this capacity spare." Notice what that costs and what it protects. It costs about a sixth of the year-earlier tonnes. It protects the spread, and it avoids selling at the margin into a market where, as the MD put it, "some people are chasing volume and I assume some degree of cash."

Exports are where logistics turns into strategy, so let us spend a minute there. About 38 per cent of FY2026 tonnes went abroad. The United States is the instructive case. Through much of 2025 an American tariff of around fifty per cent on Indian goods made US buyers

cautious; the India–US deal announced on 2 February 2026 cut it to 18 per cent, and PCBL later received a ₹33 Cr refund of tariffs it had paid. Yet on the November call the MD explained that large American customers still contract their volume a year ahead and worry that a tariff could snap back mid-year, so they do not want to give up local supply. PCBL's answer is to promise them stock held in the United States, to build railcar facilities, since 40 to 50 per cent of US volume moves by rail, and to open a warehouse in Antwerp for Europe. You will notice that none of this is a product story. It is a story about being physically close to the buyer, and it costs working capital.

Next consider why a tyre maker does not simply switch suppliers, and also why PCBL cannot simply fill a new plant. Every grade has to be approved at each tyre plant. On 17 October 2023, when the Tamil Nadu plant had just started, the CFO said: "The normal process itself takes about two to three quarters time for all the approvals to come by." Until then, the output went to the spot market at slightly lower prices, and the plant ran at about half capacity. Switching costs protect an incumbent. They also delay the return on any new capacity, which matters because PCBL added 90,000 tonnes in Tamil Nadu in January and March 2026 and has not yet reported the earnings from it.

Now let me give you the picture that the waterfall draws, because it is the clearest summary of the model. Take ₹100 of FY2026 revenue. ₹69.83 buys feedstock and absorbs the inventory movement. Staff and everything else, which includes freight, packing, stores, power and miscellaneous costs net of an FX gain, take another ₹17.43. That leaves ₹12.74 of EBITDA before other income. Then depreciation takes ₹4.55 and interest ₹5.17, so only ₹3.18 reaches pre-tax profit and ₹2.42 reaches the shareholders. If you stopped there you would think a thin-margin business had done a poor year.

Now look at the cash line, and notice how different it is. Operating cash flow was ₹19.25 per ₹100, eight times profit. Part of that is arithmetic, since depreciation is not a cash cost and interest is paid in the financing section. But ₹6.46 of it, ₹529.16 Cr, was working capital coming back: receivables down ₹427.55 Cr and inventories down ₹258.89 Cr as crude fell, offset by lower payables. The CFO explained on 3 February 2026 that it came "partly because of our being able to negotiate better credit terms with our vendors and our customers and better inventory management," and "also because crude came down in this

period.” A release caused by falling crude cannot repeat unless crude falls again. Without it, free cash flow after capex would have been ₹3.91 per ₹100, not ₹10.37, and after interest and leases it would have been negative.

Power is the one part of the model that works against the gloom. The furnaces produce a tail gas that PCBL burns to raise steam and electricity. In FY2026 the group generated 839 million units, used about 40 per cent on site and sold 511 million at ₹4.24 a unit, which is ₹216 Cr of revenue. The power segment made ₹238.59 Cr of pre-tax profit on ₹585 Cr of assets, a return of 40.8 per cent. Spread over every tonne of carbon black, that is about ₹3,855, roughly a quarter of the ₹14,939 per-tonne EBITDA the company reports. The caution is that more than half of the power revenue is sold to group utilities, and power volume falls when carbon black volume falls, as it did in Q2 FY27.

You should also know what the per-tonne figure measures, because it is the number management quotes most. EBITDA per tonne was ₹19,930 in FY2025 and ₹14,939 in FY2026, a fall of a quarter, while the segment’s revenue per tonne fell only about eight per cent, so the squeeze came out of the spread rather than the price. When I multiply the FY2026 figure by the year’s volume I get ₹924.7 Cr, and when I take group EBITDA and subtract Aquapharm’s ₹162 Cr I get ₹919.6 Cr. The two agree, which tells us that the per-tonne figure is not carbon black alone; it is everything outside Aquapharm, power included. Then look at the 2026 quarters. The ₹22,900 of Q1 FY27 carried about ₹4,500 a tonne of inventory gain, and the ₹19,800 of Q2 carried ₹2,300 of tariff refund. Strip those out and you are at roughly ₹17,500 and below. That is the run rate to hold in your mind.

Before we close, ask a simple question that the waterfall cannot answer: who is financing this cycle? In FY2026 the group collected from customers in 62 days, held stock for 65 and paid suppliers after 92, so trade creditors of ₹1,447 Cr funded about 60 per cent of the ₹2,419 Cr tied up in stock and receivables. That is cheap money, and it is why PCBL’s working-capital needs look small in calm years. It is also money that is lent against the price of crude. In my experience, you learn how comfortable a supplier-funded model really is when crude doubles, and I will show you the September 2026 balance sheet in Chapter 6, when inventories and payables both rose by close to a thousand crore.

Let me close by walking a single order through, as an average case. Approval takes two to three quarters. The price is set by a formula one quarter or one month behind feedstock. PCBL buys oil from the US Gulf on supplier credit, pays after about ninety-one days, cracks it into carbon black, burns the tail gas for power and ships from the nearest plant. The tyre maker calls off tonnes within days of use, is invoiced at the formula price and pays on terms of up to ninety days; on average, debtor days were 62 and the full cycle was 35 days. The cash part is good. The part that can hurt is how many tonnes the buyer pulls and how far feedstock moves before the formula catches up, which is why we keep asking about the spread per tonne and not the tonnes themselves.

What does this mean for you as an owner? First, the distribution model is efficient and low-cost, but it is concentrated, and the formula protects margin with a lag rather than guaranteeing volume. Second, supplier credit funds a large part of the business, which flatters cash flow when crude falls and consumes it when crude rises. Chapter 4 now tests how wide the moat really is, given an industry with spare capacity. And in Chapter 6 we will see what the cash did once the working-capital release ended.

NARRATOR'S REFLECTION

An old accountants' maxim says that profit is an opinion and cash is a fact. PCBL's FY2026 is a good illustration of why the maxim needs a footnote: the cash was a fact, but ₹529 Cr of it was a one-time fact. Judge this business on the spread it earns per tonne and on cash before working-capital changes, and treat a release of working capital as a favour from the crude-oil cycle, not as earnings power.

MENTAL MODEL • FORMULA PRICE, NOT FORMULA VOLUME

When a supplier says its contracts are formula-based, ask two separate questions. First, how fast does the formula move the price when costs move? Second, what obliges the buyer to take any tonnes at all? PCBL has answered the first (one quarter or one month behind) and has not published the answer to the second.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *""“While the industry continues to be in overcapacity, we believe that structurally, we will be able to take some price increases with value-added products.”"*
>
> — NILESH KOUL, MANAGING DIRECTOR, PCBL CHEMICAL, Q4 FY26 EARNINGS CALL, 30 APRIL 2026

Let us start with a question I ask about every industrial company: if you gave a smart competitor a billion dollars and five years, could they take the customer? For carbon black the honest answer is that they already have tried. Look at the numbers I laid out in this chapter. India has installed about 2.1 million tonnes of capacity against domestic demand of 1.17 million tonnes. PCBL's own report forecasts capacity of 3.07 million tonnes by 2030, growing at 7.9% a year, while demand grows at 3.7%. So whatever moat PCBL owns, it sits inside an industry in which everybody is building more plant than the market can fill.

Here is a small detective story you should know about, because it will teach you to distrust any single number. The Integrated Report prints India's utilisation as 57% for FY2025 and 70% for FY2030. I divided its own production of 1.47 million tonnes by its own capacity of 2.10 million tonnes and got 70% for FY2025, then did the same for 2030 and got 57%. The two labels are simply swapped. That matters because it changes the headline from a catastrophe today to a slow deterioration tomorrow. PCBL itself ran at about 75% of nameplate in FY2025, so it fills its plants better than the average competitor. But capacity outgrowing production by more than twice the rate means that unless someone closes a plant, the industry gets emptier.

Now walk with me to the factory floor and ask what actually sets the margin. A tyre maker's purchasing manager signs a contract in which the black's price follows a feedstock index, with a lag of a quarter or a month. When crude jumps, as it did when Brent went from about $60 to about $100 between January and March 2026, the producer eats the difference for a few months and then catches up. The Managing Director told investors on 30 April 2026 that the full impact of cost pass-through would show by Q2 FY27, and it did. About a third of volume is sold spot instead, and in Q1 FY27 the Managing Director said, in his own

words, “close to a third of our volumes are on the spot market, and our teams monetize this exposure very effectively.” That sentence explains why Q1 FY27 carbon black EBITDA per tonne hit ₹22,900. About ₹70 crore of it was low-cost inventory sold at high prices, which works out to about ₹4,560 per tonne.

So can you call ₹22,900 a moat? I would not, and neither would a careful credit analyst. A moat is the part of the margin that survives when crude falls. Of the six levers I tabulated, only two are structural: product mix and the power from tail gas. Power is a pleasant surprise. At the same tonnage, the tariff rising from ₹3.76 to ₹5.34 per unit gave about ₹17 crore of extra profit in one quarter. But that is a fortunate market price and 70.6% of those power sales go to related parties, so I treat it as a floor rather than a weapon.

Think about the customer's side of the table. The Integrated Report tells us that customers who each exceed 10% of revenue contributed ₹1,958.55 crore in FY2026. I worked out that three such customers would need at least ₹2,457 crore, so there can be no more than two. A handful of tyre giants who can approve a second supplier will always push on price, and in the Q2 FY27 call the Managing Director said tyre makers' own price increases were not fully passing through to their markets. Qualification is a real barrier: PCBL's new Chennai plant took a year to reach 60% utilisation because each tyre company had to approve the grades. But a barrier that slows a newcomer does not stop your customer from buying a qualified grade from someone cheaper.

Which brings me to the most revealing moment in the recent record. In Q2 FY27, PCBL's carbon black volume fell 17.0% to 134,180 tonnes. CFO Raj Gupta explained on 2 November 2026: “We are not chasing volumes. We would rather keep this capacity spare.” Managing Director Nilesh Koul added that “some people are chasing volume and I assume some degree of cash.” I respect the discipline, and the EBITDA per tonne of ₹19,800 in that quarter shows it did not hurt margin. But ask yourself what kind of competitive position lets you give up a sixth of your volume to keep the price. It is the position of a company that has a cost edge worth defending, not one that owns the market.

Let us look more closely at the arena where the profit is moving, which is specialty black. Orion's filing lets us measure it: in 2024 its rubber blacks earned about $282 of EBITDA a tonne and its specialty blacks about $440, which is 1.56 times as much. Cabot's numbers tell

the same story from the other side: its rubber business saw sales fall 10.3% and EBIT fall 5.4% in fiscal 2025, which it blamed on weak tyre demand and Asian tyre imports into western regions, while its Performance Chemicals EBIT rose 18% on flat sales. So the global leader is also migrating toward specialty. Where does PCBL stand? Specialty blacks were 11.3% of its volume in FY26. When an analyst asked on 2 November 2026 how much specialty it could sell, Managing Director Nilesh Koul answered, “So on specialty, the capacity that we have is around 75, so we are good to market that. We are tying up more and more resources for raw material, which is feedstock, which is unique for specialty chemicals. So that is the barrier.” Do you see what that sentence reveals? The plant has 132,000 tonnes of nameplate, but the binding constraint is not the furnace, it is the special feedstock and gas. A scarce input caps how fast an 11% share can grow. One more comparison keeps me humble about scale: in the same trade-remedy file that records Birla Carbon's 30% to 34% capacity share, its ROCE is quoted at 36.7% for FY20, in a year when PCBL earned 16%. The definitions differ, so I would not push the gap too far, but it is the same industry in the same year.

Does the government protect the franchise? No, and this surprises many investors. India imposed anti-dumping duty on Chinese and Russian carbon black for years, and PCBL's FY2017 to FY2019 profits were earned behind it. On 22 December 2020 the trade remedies directorate recommended five more years, with a duty of US$494 a tonne on China. On 5 January 2021 the Finance Ministry declined. Since then there has been no protection. Imports of roughly 8,000 to 10,000 tonnes a month still pressured spot prices in October 2025, and the 2026 relief came from Russian refinery outages and firmer Chinese coal-tar prices, which can reverse. The only live anti-dumping case is Aquapharm's own petition on two phosphonates, and as of this report it is a recommendation rather than a notified duty.

There is one genuine tailwind I do not want you to miss. Western Europe imports about 500,000 tonnes of carbon black a year, and before the Russian ban about 80% of it came from Russia. CFO Raj Gupta said on 30 April 2026 that India now supplies close to 100,000 tonnes, and European Rubber Journal reports that India became the largest source of EU imports after the ban. That is a window opened by geopolitics, not by PCBL's skill. Mr Gupta was careful about the India–EU trade deal too: “there is no import duty on carbon black in Europe. So, there is no direct benefit.” The benefit is indirect, through tyre exports, where

the EU's 4.5% duty on Indian tyres is likely to fall to zero. I treat the Europe window as a cost-advantage dividend that lasts as long as Russian supply stays impaired, and nobody can promise that.

That case reveals what Aquapharm's competitive position really is. The directorate found that the domestic industry, which includes Aquapharm, was making financial losses, cash losses and negative return on capital on those two products because Chinese landed prices were below its cost of sales. On 28 November 2023 Managing Director Kaushik Roy described Aquapharm as “one of the top two players” in phosphonates; by 2025 the wording had become “amongst Top 3”. I read the commodity end of phosphonates as a price-taker's business, and the value as sitting in customer-approved blends and green chelates, where the 2023 aim of “20x over the next 5 years” has produced about 1.2x in three years.

Battery materials deserves a sceptical, but not a dismissive, look. Group14's silicon-carbon plant at Moses Lake targets production in 2027 at 2,000 tonnes per module. Sila opened its plant in September 2025 after 14 years of research. Denka, Cabot, Orion and Imerys already sell conductive carbons into battery supply chains. PCBL's pilot plant started creating samples on 2 November 2026, after telling the market it would be “ready in the next few months” on 29 April 2025. On 15 May 2023 Mr Roy told investors that customer approvals would take “anywhere between say 6 months to 1 year or maybe a little more than 1 year but not like 3-4 years or something.” Three and a half years later, the first samples are under internal qualification. That is not failure, it is the normal speed of this industry, and it tells you the investment is an option rather than a moat.

So here is my verdict, stated the way I would say it to a colleague. PCBL has a narrow moat in Indian rubber-grade carbon black, built from port-side scale, co-generation and customer approvals. I give roughly two chances in three that this franchise earns its cost of capital through a full cycle, and well under one in three that it earns well above it. The peer who did earn well above, Himadri, raised its EBITDA margin from 6% to 22% in four years with ROCE of 32% and almost no net debt. PCBL's ROCE is 8%, about the same as its 7.8% cost of debt. The contrast is the Chairman's own sentence from 28 November 2023: “We have to shift platforms from Carbon Black.” You can respect the ambition and still note that the platform being left is the only one that has earned money so far.

If you hold this verdict, what would tell you early that you are wrong? I would watch five things, in this order. First, Indian capacity announcements: every additional 100,000 tonnes in a market running between 56% and 70% full makes a narrow moat narrower. Second, Russian refinery restarts, because the 2026 spot relief depends on them. Third, the crude path, because a sharp fall reverses inventory gains and tests the formula lag. Fourth, whether the HEDP and ATMP duty is notified, because that is the one live test of whether a trade remedy can lift Aquapharm's margin from 9.7%. Fifth, a named battery customer. None of these can be predicted, which is why I keep the verdict at narrow, not at none or moderate, and why I would rather re-read these five lines each quarter than defend a forecast.

Before you move on, remember the three parallels. Himadri shows what success on the same mechanism looks like. Venator shows what happens when margins collapse on borrowed money: adjusted EBITDA fell 71% and all $1,040 million of debt turned short-term. SRF shows that even excellent specialty chemical businesses reset after a peak, and SRF still earned a 21% EBITDA margin at its trough, against PCBL's 13.2%. In the next chapter I put management on trial: if the moat is narrow, the key performance indicators and the record of promises must carry the case.

> **NARRATOR'S REFLECTION**
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> A high margin in one quarter is a photograph; a moat is a film. PCBL's Q1 FY27 EBITDA per tonne of ₹22,900 was partly low-cost inventory, and Q2's ₹19,800 included a tariff refund worth ₹2,300 per tonne. Ask what survives when crude falls, when Russian supply returns and when the Indian capacity build-out arrives. The answer today is cost position, power and approvals: valuable, but narrow.

THE THREE-ARENA MOAT TEST

Score each arena separately, because a strength in one does not transfer to another.

- Carbon black: narrow moat (scale, power, approvals) in an industry adding capacity twice as fast as demand.
- Phosphonates and specialty chemicals: unproven; product-level losses at the DGTR period and EBITDA at 31% of the FY2026 forecast.
- Battery materials: an option with no customer; leaders needed 14 years and hundreds of millions of dollars.

GLOBAL PARALLEL • INDIA, FY2022–FY2026; COAL-TAR PITCH PROCESSOR SHIFTING INTO SPECIALTY CARBON BLACK AND ANODE MATERIALS • HIMADRI SPECIALITY CHEMICAL (MOAT_SCALING)

A commodity carbon-materials processor selling to the same tyre and industrial customers pushed volume into specialty carbon black and value-added carbon materials. It used qualification friction and scale economies, and it funded the expansion from internal earnings rather than debt . EBITDA margin rose from 6% (FY2022) through 10%, 15%, 18% to 22% (FY2026). FY2026 EBITDA was ₹1,006 Cr (+19%) and PAT was ₹755 Cr (+36%). ROCE was 32%, ROE 18% and net debt to equity (0.03). Specialty black capacity was 130,000 TPA of 250,000 TPA total . The same specialty-mix mechanism lifted a peer's margin by 16 points while keeping the balance sheet clean. PCBL's FY2026 EBITDA margin was 13.2% with net debt near 4.2x EBITDA, and much of its non-tyre growth went into lower-value performance grades. The mechanism is therefore available to PCBL but has not yet paid off at group level. Himadri's gains also came off a 6% trough, and it is a peer rather than an independent analogue .

GLOBAL PARALLEL • UK AND US TITANIUM DIOXIDE AND PERFORMANCE ADDITIVES, 2017–2022 • VENATOR MATERIALS (FAILURE_BASE_RATE)

A commodity-chemicals business carved out with separation debt met an oversupplied, Chinese-supply-driven cycle. Adjusted EBITDA collapsed and restructuring charges and plant closures followed. All debt then moved into current liabilities with a going-concern warning . 2022 revenue was $2,173 M and the net loss was $181 M. Adjusted EBITDA was $53 M against $180 M in 2021 (–71%). Total debt was $1,040 M, all classified short-term, up from $946 M. Restructuring, impairment and plant closing costs were $142 M against $68 M. The Pori plant in Finland closed in 2022, and the auditor's report carried a going-concern paragraph . When EBITDA falls by more than two thirds on a levered base, gearing ratios jump and maturities decide the outcome. PCBL's EBITDA fell 22% in FY2026 (₹1,384 Cr to ₹1,081 Cr) with net debt already near 4x. The direction of the ratio is therefore the same. The asset base, formula-priced customers and ₹448 Cr of promoter warrant money are materially better than Venator's .

GLOBAL PARALLEL • INDIA SPECIALTY CHEMICALS, FY2023 PEAK TO FY2024 RESET • SRF LIMITED (CYCLE_VALUATION)

Specialty and fluorochemicals earned record profits in FY2023. Customers then destocked and prices fell while the company kept spending on expansion, so earnings reset sharply despite an unbroken structural-growth narrative . FY2024 operating revenue fell 12% to ₹13,139 Cr. EBITDA fell 26% to ₹2,744 Cr (21% margin). PAT fell 38%, from ₹2,162 Cr to ₹1,336 Cr. Chemicals revenue fell 15% to ₹6,297 Cr in a “more protracted inventory destocking cycle”. About ₹1,700 Cr of Chemicals capex was spent during the downturn . PCBL's FY2024–FY2025 EBITDA per tonne of ₹20,018 and ₹19,930 sat near a cyclical high, and the Aquapharm forecasts were set at that level. FY2026 at ₹14,939 is the reset. SRF kept a 21% EBITDA margin at its trough, while PCBL's was 13.2%. SRF also carried no acquisition debt of comparable size, which makes PCBL's trough harder to absorb .

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *""Over the next 30 months, the cash flows from the two combined businesses would be more than enough to pay this entire money.""*
>
> — DR SANJIV GOENKA, CHAIRMAN, PCBL, CALL ON THE AQUAPHARM ACQUISITION, 28 NOVEMBER 2023

Charlie Munger liked to say, "Show me the incentive and I'll show you the outcome." I want you to hold that sentence in mind as we do something uncomfortable in this chapter: we audit the people running PCBL against their own words. Before that, though, let us look at the six gauges on the dashboard, because gauges lead and accounts follow. Picture a control room with six dials: how many tonnes the furnaces made, how much money each tonne earned, how full the plants are, how much power was sold, what Aquapharm earns each quarter, and how much working capital and debt the group carries. Four dials are amber, one is green, and one, Aquapharm, is red.

Start with volume. Carbon black volume rose from 445,184 tonnes in FY23 to 618,956 tonnes in FY26, an 11.6% compound rate, almost exactly what the CFO promised on 17 October 2023 when he said, "we believe that next five to six years we can grow at lower double digit, may be 12% to 13% kind of growth." But look at the last two columns of my table. FY26 growth was only 3.8% and the first half of FY27 fell 8.9%. In Q2 FY27 the volume dropped 17% to 134,180 tonnes. Is that demand collapsing? No. The CFO told investors on 2 November 2026 that "we are not chasing volumes. We would rather keep this capacity spare." They walked away from low-margin orders in Sri Lanka, Bangladesh, Vietnam and Thailand and from domestic spot sales.

Now do the arithmetic the management guide invites. A 7% rise over FY26 means 662,283 tonnes. Half the year is gone and 287,694 tonnes are in the bag, so the second half needs 374,589 tonnes, which is 23.6% more than the second half of last year. When an analyst probed this, the Managing Director said the 7% guide was "a little bit challenging right now." I appreciate the candour, and I would plan on flat-to-lower volumes for FY27.

The second dial is the one that matters most: what each tonne earns. In February 2023 the CFO told analysts, “we took 2022 as base… in next four, five years on an average every year there should be about a Rs.1000 kind of increase in our EBITDA performance.” Walk through what followed. From about ₹15,000 a tonne the figure rose to ₹17,405, ₹20,018 and ₹19,930 for three years, ahead of the promised path every year. Then FY26 brought ₹14,939, about ₹4,000 below where the promise implied it should be. H1 FY27 looks magnificent at about ₹21,450, but I would not frame that number. About ₹70 crore of it was cheap feedstock sold at higher prices, worth about ₹4,560 a tonne in Q1, and ₹2,300 a tonne in Q2 was a refund of American tariffs. Strip both and you get about ₹17,900, which is still better than FY26 and still inside what management guided. Notice what the CFO said on 30 April 2026 when asked about a jump in profit: “There's not much improvement at EBITDA per ton level. So, the real impact of all the initiatives… is yet to come.” That is the voice of a man who does not oversell, and I give him credit for it.

Then there is utilisation. PCBL added 214,000 tonnes of capacity between FY23 and FY26 and volume rose by only 174,000 tonnes, so the plants have never run fuller than the 75.5% they reached in FY25. Today, annualised H1 volume is 63.9% of the 900,000 tonnes on the nameplate. Fixed costs do not care about the reasons. When plants run at two-thirds, every extra tonne sold falls mostly to profit, which is the good news for volume recovery, and every missing tonne costs a full share of fixed cost, which is the bad news now. Power, the fourth dial, is the cheerful exception. The tail gas of the furnaces drives 122 megawatts, about 60% of the electricity is sold, and the price rose from ₹3.76 to ₹5.34 a unit between Q2 FY26 and Q2 FY27, adding about ₹17 crore in that quarter alone.

Now the red dial. On 28 November 2023 the Chairman told investors that Aquapharm's forecast EBITDA was “380, 430, 525” for FY24, FY25 and FY26 and that its revenue was “INR 2,045 crores” with a 20% margin. What actually arrived? ₹194 crore in FY25, which is 45% of the 430 promised, and ₹162 crore in FY26, which is 31% of the 525. The margin fell from 20% to 11.2%, and in Q2 FY27 it was 9.7%. The Aquapharm CEO at the time, Suresh Kalra, said on 17 October 2025 that quarterly EBITDA of ₹75 crore “by this year end, that is right. So, that is where our exit is planned.” The next two quarters delivered ₹35 crore and ₹29 crore. His successor, Rohit Narang, has since said anti-dumping duty on HEDP and ATMP is “provisional right now.” You and I should weigh that: a ₹3,800 crore purchase now

yields ₹162 crore of EBITDA, about 4.3% a year before tax, interest or capital to keep the plants running.

That leads straight to the promise that matters most to a lender. On the call of 28 November 2023 the Chairman said, “Over the next 30 months, the cash flows from the two combined businesses would be more than enough to pay this entire money.” Thirty months later is roughly May 2026. At 31 March 2026 net borrowings were ₹4,536 crore. The CFO had said on 30 October 2024, “we are not comfortable with our debt to EBITDA beyond 2”; net debt was 3.6 times company EBITDA at the end of FY25 and 4.2 times at the end of FY26. On 12 August 2024 he described five-year cash flow of “almost INR9800-10,000 crores”, enough “to also repay the entire debt”; two years in, cash from operations totals ₹2,336 crore, about 58% of the straight-line pace. I do not think anyone lied. I think forecasts made at a cyclical high turned out to be a poor guide to a trough year.

The sixth dial, working capital and gearing, flatters in the annual numbers and warns in the half-year, so let us look at it slowly. In FY26 debtor days fell from 78 to 62 and the cash conversion cycle from 57 to 35 days, and a working-capital release of ₹529 crore helped net borrowings fall by ₹454 crore. The CFO said on 3 February 2026 that this came from better terms with customers and vendors, better inventory management and the fact that “crude came down in this period”. Then crude went from about $60 at the start of 2026 to about $110 by November, and by 30 September inventories had risen from ₹1,024 crore to ₹1,981 crore while trade payables rose from ₹1,447 crore to ₹2,428 crore. Net trade working capital rose only ₹170 crore, which is why gross debt rose just ₹102 crore. But read what that means: supplier credit funded nearly the whole build, and the FY26 release was largely a crude-price round trip, not a permanent improvement in how the business runs.

So how should you score it? I count 34 promises in the audit table. Four were delivered in full: the FY24 volume milestone, the specialty additions, and the two promises about the Chennai ramp. Ten were met in part, ten were missed, and ten cannot yet be judged. Of the eight Aquapharm promises, none was delivered; five were missed. Of the fourteen about carbon black plants and operations, ten were delivered or partly delivered. The pattern is as clear as I have seen in a flagship company: management delivers what its engineers can build and misses what depends on a new market, on an acquired business or on crude. The nano-

silicon plant is the sharpest example. In January 2025 the CFO said the pilot would be commissioned “in the next few months' time”. It started creating samples on 2 November 2026, 22 months later, and the commercial plant moved from “Phase 1 by FY27” in September 2025 to “end of FY'28” by February 2026.

Now the runway. Management's Vision 2030 asks for revenue of ₹16,000 crore, EBITDA of about ₹4,000 crore, specialty at 45% of revenue and net debt below one times EBITDA. From FY26's ₹1,081 crore that needs 38.7% compound growth for four years. I looked for where the growth comes from, and about ₹1,400 crore of the ₹2,600 crore increment sits in conductive and battery products that have not yet made a commercial sale. The CFO told investors on 30 April 2026, “from 2030 perspective, we are very confident, we remain on track.” I treat that as an ambition rather than a forecast. The nearer runway is more modest and more believable: Indian demand growing 3.7% a year, Europe, specialty at 7.6% a year, and 100,000 tonnes of Andhra capacity that, on management's own sequence of clearance and construction, arrives in FY29 or FY30 and not by the March 2028 date given in April 2025.

It is worth noticing how often the sceptics were right in advance. On 30 October 2024 an analyst said, “you were guiding earlier around 15-20% volume growth. In this quarter sir we had witnessed only, you can say, flattish volumes only,” and Aquapharm's FY25 volume came in at 95,806 tonnes. On 23 July 2025 another asked about “diluting the overall ROCE”, and the CFO answered that the internal expectation was “at least 17-18% kind of minimum return on invested capital, but it takes time to reach to those numbers. In 3-4 years' time.” Group ROCE in FY26 was 8%, and the Chemicals segment earned 0.4% before tax on its assets. On 2 November 2026 an analyst asked how much of the ₹200–250 crore cost programme was structural, and the CFO said, “It is not much at this stage.” I give management credit for the straight answer and the sceptics credit for asking the right question a year early. As an owner, keep a list of those questions and look for their answers in the numbers, not on the slide.

There is one more thing a mentor must flag. Between October and November 2025 the Managing Director who had led most calls since 2023 resigned for personal reasons, seventeen days after chairing the Q2 FY26 call; Nilesh Koul, who comes from aluminium,

replaced him. Aquapharm's CEO resigned in February 2026 and a successor arrived in May. Leadership change is not misconduct. It means the people who made the 2023 to 2025 promises are, in several cases, not the people who must keep them. That is also why I look to the CFO, Raj Gupta, who has been on every call since July 2022, as the continuity in this audit.

Let me give you my verdict on the dashboard in words you can hold on to. The carbon black engine works; it ramps new plants, earns above FY26 spreads and sells power at a good price. The acquisition and the balance sheet do not work yet; they are the reasons returns on capital are about 8%. I rate KPI health PASS_WITH_WATCH, at the weak end. I would move it to a fail if second-half spreads fall below about ₹16,500 a tonne without one-offs, or if Aquapharm stays below ₹45 crore a quarter and total debt stays above four times company EBITDA at March 2027. Next, in Chapter 6, we follow the cash and ask how much of all this reaches the shareholder.

NARRATOR'S REFLECTION

Keep two ledgers when you listen to management. One records promises that depend on engineering, such as furnaces and co-generation, and PCBL keeps most of them, a little late. The other records promises that depend on markets, acquisitions and crude, and PCBL has missed most of them by large margins. An owner needs to price the second ledger, not the first.

NARRATOR'S REFLECTION

A recovery you can see in one quarter is not a recovery you can count on. ₹22,900 and ₹19,800 a tonne in H1 FY27 each contained a one-off, and the underlying ₹17,900 is the number that has to hold when crude falls. Judge the next two quarters on that figure, on Aquapharm's ₹42 crore and on net debt, not on headline EBITDA.

THE EXECUTION PLAYBOOK • KPI WATCHLIST FOR THE NEXT TWO QUARTERS

Five readings decide whether the PASS_WITH_WATCH rating improves or fails.

- Carbon black EBITDA per tonne excluding inventory and refunds: at or above ₹17,000.
- Quarterly volume: back above 150,000 t without discounting spot prices.
- Aquapharm quarterly EBITDA: ₹60 crore or more, against ₹42 crore in Q2 FY27.
- Net debt to company EBITDA: trending below 3.5x from 3.95x.
- Andhra Pradesh environmental clearance and first nano-silicon customer qualification: dated, not promised.

CHAPTER VI

Following the Cash — 10-Year Financials & Earnings Quality

> *"“...over the next 30 months, we expect the two companies to have EBITDAs of INR4,000 crores-plus. The acquisition cost is INR3,800 crores.”"*
>
> — SANJIV GOENKA, CHAIRMAN, PCBL CONFERENCE CALL ON THE AQUAPHARM ACQUISITION, 28 NOVEMBER 2023

Let me start with a confession about how I read a company like PCBL. I do not begin with the profit; I begin with the question of what the cash did. Profit is an opinion, as the old accountants say, and cash is a fact. So I pulled out the ten-year record, and before we look at any single year I want you to see its shape. For six years, from FY2018 to FY2023, this was a lean carbon black producer. Its debt never went above about ₹1,000 Cr, and it earned between 16 and 23 per cent a year before tax on the money invested. Then, in a single year, two decisions changed it: a ₹3,850 Cr purchase of Aquapharm and a ₹950 Cr new plant in Tamil Nadu. Capital employed more than doubled, to ₹8,230 Cr, and so did debt.

Hold that moment in your mind, because the Chairman gave it a clock. On 28 November 2023, announcing the deal, Sanjiv Goenka said that “over the next 30 months, we expect the two companies to have EBITDAs of INR4,000 crores-plus. The acquisition cost is INR3,800 crores.” He added, “I am personally very debt averse.” Now, let us compare that with what happened. The company’s EBITDA for the twenty-seven months from January 2024 to March 2026 was ₹2,798 Cr, which is 78 per cent of the pro-rated promise, and the borrowings on the balance sheet were ₹4,983 Cr in March 2024 and ₹5,083 Cr in September 2026. I am not accusing anyone of bad faith. I am telling you that the deal case has not yet shown up in the cash.

Next, the profit and loss. In FY2026 revenue slipped 2.6 per cent to ₹8,189 Cr, and EBITDA excluding other income fell 22 per cent to ₹1,043 Cr. A word on that definition, because you will meet two numbers in the market. The company quotes EBITDA of ₹1,082 Cr, which includes ₹39 Cr of other income, and the data aggregators quote ₹1,043 Cr, which does not. I show leverage on both bases, because other income, here mostly dividends on group shares

and investment gains, is not operating and moves the ratio by 0.1 to 0.2 times. Below the EBITDA line the damage compounds: interest of ₹423 Cr and depreciation of ₹373 Cr, a quarter of which is the amortisation of Aquapharm's purchase price, left profit after tax at ₹198 Cr, down 54 per cent.

Then comes the line that surprises people: operating cash flow of ₹1,576 Cr, almost eight times profit and the highest in the twelve-year series. Let us walk through how that happened. Receivables fell by ₹428 Cr, inventories fell by ₹259 Cr, and the net effect of working capital was a release of ₹529 Cr, compared with an absorption of ₹408 Cr the year before. The CFO, on 3 February 2026, put it this way: it came "partly because of our being able to negotiate better credit terms with our vendors and our customers and better inventory management," and "also because crude came down in this period." Notice that the second reason is not a management action. It is the oil price, and the oil price does not do favours twice.

Strip the release out, and the picture changes. Free cash after capex, interest and leases was ₹355 Cr in FY2026, but without the working-capital release it was minus ₹174 Cr. The year before it was minus ₹128 Cr on the same basis. In both years the business did not generate enough cash to pay for its capital spending and its interest bill, before it paid a rupee of dividend. That is not a verdict on the franchise; it is a measure of how heavy the balance sheet has become, with interest and acquisition amortisation together absorbing about half of EBITDA.

Now to the dividend, because it is where the cash story meets the shareholder. The company paid ₹6 a share in FY2026, ₹226 Cr, which was 114 per cent of consolidated profit. When an analyst asked on 3 February 2026 whether the company had gone overboard, the CFO answered: "the visibility around performance and cash flow remains very strong. And therefore, the board has decided not to reduce dividend payout for now." Management's stated norm is 40 to 50 per cent. I see two things here. First, the payout was funded by the working-capital release and by ₹336 Cr of promoter money received through warrants; ₹116 Cr of the dividend went straight back to the promoter group. Second, in the first half of FY27 the company paid another ₹177 Cr while its free cash after interest and leases was minus ₹23 Cr, because working capital absorbed ₹219 Cr.

Let me now show you how the lenders see this balance sheet, because they have more to lose than we do. Goodwill and acquired intangibles of ₹2,706 Cr make up two-thirds of equity, so the tangible equity is only about ₹1,313 Cr against net debt of ₹4,596 Cr. Of the ₹4,825 Cr borrowed, ₹2,230 Cr falls due in FY2028 and FY2029, exactly when the Andhra Pradesh plant and the battery-materials spending are meant to arrive. Interest cover on operating profit after depreciation was 1.58 times in FY2026, and net debt was 4.4 times operating profit excluding other income (4.2 times the company's own EBITDA). The lenders' own test is total debt, which is 4.15 times trailing company EBITDA against CARE's trigger of 4 times. ICRA, on 12 February 2026, said the pressure on profitability was "likely to persist over the next few quarters" and moved its outlook to negative; CARE followed on 7 July 2026 and said it would restore a stable outlook "upon meaningful improvement in its operating profitability." CRISIL's AA carries a negative outlook as well. None of them is saying the company is in trouble. They are saying that the room for error has gone.

Which brings us to the September 2026 balance sheet, where I want to be careful to separate what we know from what I am inferring. Inventories rose from ₹1,024 Cr to ₹1,981 Cr in six months, and trade payables rose almost one-for-one, from ₹1,447 Cr to ₹2,428 Cr. Management did not address this directly. The CFO said crude had gone back to $110 and customers had destocked, and Aquapharm's CEO said the company had "expanded our critical raw material inventory coverage." On 30 April the CFO had guided to only about ₹100 Cr of extra working capital. My reading is that most of it is price, because crude moved from about $65 to the $97 to $110 range, but price alone cannot explain a 93 per cent rise. Some is deliberate stock. Net funding need was only ₹170 Cr. The lesson is simple: the ₹529 Cr release and the ₹219 Cr absorption are one crude-price round trip, not a change in earning power.

One more detail from the quarterly record will save you from a common trap. In the December 2025 quarter profit after tax was ₹2 Cr and the tax rate was 80 per cent, and a hurried reader might think a tax problem or a collapse. It was neither. The company took a ₹21 Cr one-time charge for the new Labour Codes and did not claim tax relief on it in that quarter, so tax of ₹8 Cr landed on pre-tax profit of only ₹10 Cr. The real weakness sat higher up: profit before that charge was ₹31 Cr, against ₹124 Cr a year earlier, because carbon black

earned only ₹13,800 a tonne. I mention it because accounting noise can hide an operating message, and it can also manufacture a fake one. You and I should always ask which it is.

What about the earnings in H1 FY27, which look so much better? EBITDA of ₹710 Cr is 18 per cent above last year. But in Q1 the CFO told investors, "we did about close to INR70-odd crores" of low-cost-inventory gain, and "This quarter we have some extraordinary benefit of low-cost inventory, which is unlikely to be repeated." In Q2 there was a ₹33 Cr refund of US tariffs, or ₹2,300 a tonne. Take both out and H1 EBITDA is about ₹607 Cr against ₹603 Cr a year ago. That is flat. I would not call it weak, given that volume fell 17 per cent in Q2 by choice. I would call it a company that is holding its profit steady while the headline improves.

Let me now turn to the Aquapharm return check, because the capital allocation of the last three years stands or falls on it. The CFO said on 23 May 2024 that Aquapharm "on a full year basis is going to add another 250 to 300 crore." The actual figures are ₹194 Cr in FY2025 and ₹162 Cr in FY2026. On ₹3,850 Cr paid, that is a 4.2 per cent EBITDA return, before depreciation and tax, against a cost of debt of 7.8 per cent. The segment earned ₹17 Cr of pre-tax profit on ₹4,226 Cr of assets. And the impairment test that keeps goodwill intact assumes margins of 16 to 20 per cent, while the actual margin is 11.2. There is good news at the margin, with EBITDA of ₹47 Cr and ₹42 Cr in the last two quarters and a recommended anti-dumping duty, but you and I should wait for it to show in the numbers.

Now, what return do we actually need, and what would it take? I have to make an assumption here and I want you to see it: I take a cost of equity of 13 per cent, which is my assumption and not a published figure, a cost of debt of 7.8 per cent from the audited accounts and a 25 per cent tax rate. That gives a WACC of about 9 per cent, and I use 10 per cent as the hurdle. On ₹8,995 Cr of capital that requires EBIT of about ₹1,200 Cr, against ₹709 Cr in FY2026 and ₹1,038 Cr even at the FY2025 peak. In other words, a repeat of the best year would still not earn the hurdle on today's balance sheet. Between FY2023 and FY2026 capital employed grew by ₹5,136 Cr and EBIT by ₹74 Cr.

Is the governance a problem? I do not think so, and I want to be fair. The auditor's opinion is unmodified, receivables are clean, contingent liabilities are small, and no promoter shares are pledged on the data we could read. What I notice instead is capital allocation: ₹464 Cr sits in shares of group companies that earned ₹10 Cr in dividends while the company pays 7.8 per

cent on its debt; over half of power sales go to group utilities; and the one judgment on which the whole acquisition rests, the goodwill test, passes only because the discount rate was cut by 480 basis points.

So where does that leave you as an owner? My judgment is that this is a profitable, cyclical business with a franchise worth having, a stretched balance sheet and no demonstrated compounding of cash. The credit agencies, all three at AA with a negative outlook, say much the same in their own language. For compounding to become credible you would need to see EBITDA about a third above its trailing level, or Aquapharm earning the margins its own impairment model assumes, with total debt below four times LTM company EBITDA (4.15 times in September 2026) and dividends covered by free cash before working-capital swings. Until then, treat each strong cash quarter as a question: is it earnings power or is it the oil price? That is the discipline the rest of the dossier will apply.

NARRATOR'S REFLECTION

A promise with a clock attached is the most useful thing a manager can give an analyst, because the clock does the auditing. Thirty months were promised for the deal to pay for itself; nearly three years in, gross debt is where it started and the cash that did arrive in FY2026 came from falling crude and promoter equity. The lesson is not to distrust the people but to measure the claim against the cash, and to keep a separate column for the cash that nobody will be able to repeat.

THE TWO-QUESTION CASH TEST

For any strong cash year, ask two questions. Would free cash after interest, leases and capex still be positive without the working-capital change? And did the dividend and any capital raised come from that free cash or from something else? PCBL's FY2025 and FY2026 both fail the first test and its dividend fails the second.

NARRATOR'S REFLECTION

The hurdle I set, 10 per cent after tax, is deliberately modest next to the company's own 13.7 per cent for Aquapharm. Even so, the FY2025 peak year does not reach it on today's capital. That is the real measure of what the last three years cost: not one bad quarter, but a base that now needs a much better business to justify itself.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *""In the short run, the market is a voting machine but in the long run it is a weighing machine.""*
>
> — BENJAMIN GRAHAM, AS QUOTED BY WARREN BUFFETT

Let us start with the one number every investor sees first and understands least: ₹282.55. That was PCBL's close on 13 November 2026, down 24% from its July high and 19% below where it stood a year ago. TradingView puts the market value at about ₹11,229 crore, which is the previous session's price times the 39.35 crore shares in the Integrated Report; at the 13 November close it would be ₹11,117 crore, which moves the multiple by a tenth of a turn. Add ₹4,696 crore of net debt and the whole enterprise is priced at ₹15,925 crore. Divide that by the ₹1,148 crore of operating profit earned over the past twelve months and you get 13.9 times. The P/E is 41 times. Neither number is a verdict. Both are questions: what does someone have to believe for that price to be fair?

Begin with the 41. It looks absurd for a carbon black maker until you notice that earnings per share have been ₹13.01, ₹11.51 and ₹5.15 in the last three fiscal years, and that the trailing figure of ₹6.90 sits in the valley between peaks. On the FY2024 earnings the same price would be about 22 times. So the market is not paying 41 times for what the company earns today; it is paying for a recovery. Where did the profit go? Of ₹1,148 crore of operating profit, about ₹400 crore went to interest and ₹397 crore to depreciation. Seven rupees in every ten of operating profit are spoken for before the shareholder sees anything. That is the shape of a business that spent heavily on Aquapharm and a new plant, and has not yet earned the cost of doing so.

Now the dividend yield of 2.12 percent, which some investors read as a cushion. You and I know better after Chapter 6. The company paid ₹226 crore of dividends in FY2026 against ₹198 crore of profit, 114 percent, and it did so because a falling crude price released ₹529 crore from working capital and the promoters paid in ₹336 crore for warrants. When the CFO said on 3 February 2026 that “the board has decided not to reduce dividend payout for

now," he was telling you the payout is a decision. A yield that depends on paying out more than you earn is not a floor under the price. It is a promise the board can retract.

So what does ₹282.55 need? I ran the question backwards. Take the ₹15,925 crore enterprise value, set a discount rate of 10 percent, which is my own hurdle for a business with net debt of 4.4 times operating profit excluding other income and a negative ratings outlook, and ask how fast EBITDA must grow for the cash flows to repay that price. The answer is about 13 percent a year for five years, taking EBITDA from ₹1,164 crore to roughly ₹2,145 crore. That is 55 percent above the best year the company has ever printed. It is also only about half of the ₹4,000 crore that management has put on its 2030 slide. Notice what that means: you do not need management's grand plan to come true, but you do need about half of it, on a balance sheet that has no spare room.

There is a gentler way to ask the same question, and it gives a gentler answer. If the market still pays 12 times EBITDA in November 2028 and net debt falls to ₹4,400 crore, today's price needs EBITDA of ₹1,293 crore, which is within a hair of my base case and below the FY2025 peak of ₹1,384 crore. That sounds easy. The catch is the 12. A two-year-out multiple quietly assumes the market will keep paying for growth after that date, and when I ran the long-hand cash flows they put only about 7 times on the fifth-year EBITDA. Which is right? Both. The multiple is how this stock actually trades; the DCF is the reminder that the multiple is a generous gift to a business earning eight percent.

Compare it with the neighbours. Himadri, the other listed carbon black business, earns 22 percent on capital on Screener's trailing basis, about 32 percent on the company's own FY2026 basis, and trades at 27 times EBITDA with almost no net debt. SRF earns 14.6 percent and trades at 19.8 times. Deepak Nitrite earns 11.4 percent at 13.6 times. Aarti Industries earns 6.9 percent, almost exactly what PCBL earns, and trades at 15.6 times. PCBL, at 13.9 to 14.2 times, is bunched with the weakest returns, and it is above a peer earning half again as much. The market, in short, is lending PCBL the multiple of a better business, on the strength of an expected spread recovery. I excluded Orient Carbon, with a market value of ₹127 crore, because there is no usable price feed for it. The peers are imperfect, and I would not hang a valuation on any single one, but the pattern is hard to miss.

Here is how I turned that into numbers. I built FY2028 EBITDA the way the business actually makes money: tonnes of carbon black times EBITDA per tonne, plus Aquapharm. In the bear case, volume stays near 600,000 tonnes because Chinese and Asian imports and the company's own refusal to chase thin-margin spot orders keep it there, EBITDA per tonne is ₹14,500, Aquapharm earns ₹150 crore, and the market pays 10 times. That is ₹137 a share, 51 percent below today, and I give it 30 percent. In the base case volume grows to 650,000 tonnes, EBITDA per tonne reaches ₹16,800, which is management's own double-digit guidance applied to FY2026 and below the ₹17,500 underlying level of the latest quarter, Aquapharm recovers to ₹195 crore and the multiple is 12 times. That is ₹281, and I give it 48 percent. In the bull case volume reaches 740,000 tonnes, 82 percent of the 900,000-tonne capacity, at ₹18,500 per tonne with Aquapharm at ₹260 crore and 13.5 times. That is ₹462, with a 22 percent chance.

Weight them and you get ₹278 against a price of ₹282.55, so the stock is 1.8 percent above the probability-weighted value, and the weighted value is 1.7 percent below the price. Do not read that as a bargain or a bubble. It is a fair price for a very wide distribution: 51 percent down in one tail, 64 percent up in the other. Why do I tilt toward the bear tail with 30 percent against 22? Because the evidence in Chapters 5 and 6 does. Net debt is 4.1 times trailing operating profit excluding other income, three agencies hold the rating at AA with a negative outlook, Aquapharm has delivered none of its eight audited promises, and first-half EBITDA growth of 18 percent is about flat once a ₹70 crore inventory gain and a ₹33 crore tariff refund come out. As the CFO, Raj Gupta, put it on the 2 November 2026 call, “we are not chasing volumes. We would rather keep this capacity spare.” That is discipline, and it is also the sound of volume shrinking 9 percent in a half.

Look at what moves the number. One extra turn of multiple on base-case EBITDA is worth about ₹33 a share. An extra ₹1,000 per tonne of spread is worth about ₹20, 50,000 extra tonnes about ₹26 and ₹50 crore more from Aquapharm about ₹15. Paying down ₹100 crore of debt adds ₹2.50. So the balance sheet matters for survival and for ratings, but the share price is mostly decided by whether the spread and Aquapharm recover. Only the bull case earns a pre-tax return near the 13 percent a ₹9,000 crore capital base needs to clear a 10 percent hurdle. The base case earns about 9.4 percent. That is why I say eight percent returns do not support a recovery multiple unless EBITDA per tonne and Aquapharm recover.

Three smaller items sit between the enterprise value and your share, and you should know them. The first is dilution: the share count rose 4.24 percent in November 2025, when the promoters converted warrants at ₹280 and put in ₹448 crore, which is within one percent of today's price, so the controlling shareholders' last cash cost is almost exactly what you would pay. The second is net debt, which rose about ₹160 crore in the six months to September 2026 because working capital absorbed ₹219 crore as crude climbed. The third is the dividend, ₹177 crore in the first half alone. None of these is large next to the multiple. Remember what the CFO told analysts on 30 April 2026 when one asked the reason for the jump in quarterly profit: “There's not much improvement at EBITDA per ton level.” The next quarter then carried a ₹70 crore inventory gain, which is why I lean on the underlying figure of about ₹17,900 per tonne, not the headline, for the one number that decides everything else.

Aquapharm deserves a minute of its own, because it is where hope and arithmetic part. FY2026 EBITDA of ₹162 crore is a 4.2 percent yield on the ₹3,850 crore paid, while the debt that funded it costs 7.8 percent. My bull case, ₹260 crore, yields 6.8 percent, still short of the cost of the debt. Value it at the group multiples and it is worth ₹1,500 crore, ₹2,340 crore and ₹3,510 crore in the three cases, which is 39, 61 and 91 percent of the price. The Chairman said on the acquisition call of 28 November 2023 that “over the next 30 months, the cash flows from the two combined businesses would be more than enough to pay this entire money.” Almost three years later gross borrowings stand at ₹4,927 crore. I am not saying it cannot recover; I am saying the price today asks you to pay as if it already had.

What price would change my mind? Work backwards from the return you need. Buy at ₹225 and the probability-weighted value gives you +23.4 percent over two years, about 11 percent a year, with the base case at +24.8 percent. Buy at ₹205 and it is +35 percent. At those prices you pay about 10 times base-case EBITDA, essentially the bear multiple for base-case earnings, and the stock trades near two times book. I set the cancel level at a weekly close of ₹190, about 1.5 times the stock's average daily range below the bottom of the zone, and close to the ₹193 that the sensitivity grid gives for ₹1,000 crore of EBITDA at 12 times, which would mean the market had priced EBITDA below FY2026. Reward against risk at ₹225 is 1.6 to 1, and at ₹205 it is 5.1 to 1. That is the valuation watch zone, ₹205 to ₹225. It is a conditional range for a future re-underwrite, not an order.

Two honest limits. First, there is no historical multiple band: the feed has no price history and I will not make one up, so I cannot tell you whether 13.9 times is high against PCBL's own past. Second, every multiple, volume and net-debt figure in the scenarios is my assumption, not company guidance, and I have said where each comes from. The conclusion is not a verdict on the business, which the Prologue rates cyclical and conditional. It is narrower: at ₹282.55 you are paid nothing in expectation for taking a distribution that runs from minus 51 to plus 64 percent. Chapter 8 now reads the tape, to see whether the market agrees.

NARRATOR'S REFLECTION

A price tells you what the crowd is willing to pay, not what the business is worth. Here the crowd is paying 13.9 times EBITDA for a business that earns 7.75% on capital, and that is fair only if the spread and Aquapharm both recover. Ask yourself which of the two you would be willing to bet your own money on, and the answer tells you how much of ₹282.55 is evidence and how much is hope.

MENTAL MODEL • REVERSE THE QUESTION

Instead of asking what a company is worth, ask what the price assumes. If the assumption is a 13% EBITDA CAGR for five years from a company that has missed most of its financial promises, the margin of safety lives in the price you pay, not in the story you tell.

- Price needs EBITDA of about ₹2,145 Cr by FY2031E at a 10% WACC.
- Only the bull scenario earns a pre-tax return near 13% on capital.
- The watch zone ₹205–225 pays you 23–35% over two years for the same risks.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *""“The trend is your friend until it ends.”""*
>
> — MARKET MAXIM

Let me start with a confession about how I read charts. I do not use them to predict anything. I use them to ask whether other people with money agree with my analysis, and whether the timing of my entry is likely to cost me months of waiting or a painful drawdown. In the last chapter we asked whether ₹282.55 is a fair price for PCBL's earnings and found it roughly fair, with no margin of safety. Now I want you to look at the picture the market itself has been drawing, because the answer there is more blunt.

Here is the picture in one sentence. From mid-June to mid-October the share closed above a rising 30-week moving average, which is what Stage 2 of a stock's life looks like in the old Weinstein vocabulary: the stock is being bought, the average is climbing, and pullbacks hold. The week of 23 October ended that. On Friday the 23rd the stock fell 6.03% on 2.16 times its normal volume and closed at ₹274.85, and it has spent the three weeks since sitting below the line, which is at ₹306.2 today and no longer rising in any useful way. The share is 7.7% below it. It is also below the 50-day and 200-day averages, and weekly RSI is 40.3. Nothing in that description is a base, a squeeze, or a turn.

Take the weekly closes one at a time, because the sequence tells the story better than any summary. On 25 September the stock closed at ₹339.6, 13.5% above its 30-week average of ₹299.3. A week later it was 6.9% above, then 3.2%, then 1.5% on 16 October, so the cushion had been draining for a month before the break. Then came the week of the 23rd, with the close at ₹274.9, 10% below the line. Look at what the average itself did: it kept creeping up, from ₹304.7 to ₹305.4 to ₹306.0 to ₹306.2, but each week it rose by less, and this week it did not rise at all. That is how the long trend line behaves when the price has already left it. It is the last thing to turn, and it has just stopped climbing.

Now, two systems we run on the same stock disagree about the label, and I owe you the disclosure. The scanner says Stage 4, because the price is below both the 30-week and the

50-day averages. The ledger says Stage 1, a basing stage, because the last bar it holds is a quiet one and the 63-day volume dry-up ratio is 0.27. I adopt the stricter reading, and here is why. A real base follows a decline that has run its course, and PCBL's base was last March, when the stock touched ₹226.50 on the 24th and closed at ₹233. What came after was a rally to ₹374 on 29 July, the day of the Q1 results call, when roughly 27 million shares changed hands, about 39 times a normal session. Within two sessions every rupee of that move had gone. A stock that gives back a 15% jump in two days is not basing; it is a failed advance, and quiet trading after a failure usually means that the buyers have left, not that the sellers are exhausted.

Let me walk you through the volume, because volume is where the argument about institutions lives. There is one clear distribution day, 23 October, when the stock fell on more than twice its average turnover. There was a relief bounce on the 27th, up 4.54%, which faded within three sessions. Then came the Q2 results on 2 November. The stock rose 2.04% on 3.63 times its normal volume, which is the sort of day on which anyone who wanted to build a position would have had plenty of liquidity. And yet the close that day, ₹282.60, is within five paise of where the stock stands now, eight sessions later. Heavy turnover that produces no lasting price gain is what supply meeting demand looks like. Since then, the stock has drifted between ₹276 and ₹285 on volume that is mostly 0.4 to 0.85 times normal, and 13 November itself came in at 0.81 times the 30-day average.

You will want to ask me whether the lag against the market is a sign of opportunity, and I understand the instinct. The market is in an uptrend: 61% of the Nifty 500 names are above their 50-day averages, 52% above their 200-day averages, and there have been only three distribution days in 25 sessions. But the breadth is narrow, and PCBL is outside it. Its 63-day relative strength against the Nifty is -14.77 points, and the 28-day figure is -25.63 points, which tells you the gap has widened in the last month, not narrowed. When a stock lags a healthy market that badly, the market is voting on something specific. In this case I think it is voting on the same things Chapters 5 and 6 spent a lot of pages on: an acquisition that earns less than it was sold on, carbon black margins per tonne that are well below the peak, and a balance sheet that carries ₹4,696 Cr of net debt.

Let me be fair to management here, because the stock is not telling a story of incompetence. On the 2 November call the CFO, Raj Gupta, explained why volumes fell: it was, in his words, "primarily a margin decision", and he added "we would rather keep this capacity spare." The Managing Director, Nilesh Koul, said on the same call, "We remain constructive on the strong second half, while recognizing that the timing of recovery will depend on market conditions." You and I can respect a management that walks away from low-margin spot volume. But the tape is pricing the other side of that sentence: the recovery is conditional, and the stock has no reason to run ahead of it.

Is there a short-term trade here? I looked for one, honestly, and I could not find it. A trend-following trade needs a trend, and there is none. A bounce trade needs a seller who has capitulated, and RSI readings of 40, 42 and 47 across the weekly, daily and 4-hour charts are not capitulation. A breakout trade needs a squeeze and a volume surge, and we have eight sessions of closes between ₹276 and ₹285 on thin volume. The ATR, the average daily range, is ₹9.88, or 3.5% of the price. That one number explains why I will not hand you a precise-looking stop and call it risk management. A stop that is closer than one ATR from your entry is a coin flip on tomorrow's noise.

That leads me to the scanner's technical shelf, because you will see it on the screen and wonder why I am ignoring a support zone. The shelf runs from ₹249.96 to ₹257.58, with a stop at ₹248.83. If you buy at the top of the band and use that stop, the arithmetic against our ₹281 base value prints 2.7 to 1, which looks wonderful. But the stop sits 0.89 of an ATR below your entry. You would be risking about ₹8.75 against a stock that moves ₹9.88 on an average day. And what is the real reward? The probability-weighted value of ₹278 is only 7.8% above ₹257.58, over two years, while the bear case of ₹137 is 46.7% below it. Put the stop where the stock would actually have failed, at the March low area near ₹226.50, and the ratio falls to 0.75 to 1. A reward-to-risk ratio built on a stop that ordinary volatility will hit is an artefact, and I do not size positions on artefacts.

So what would a real turn look like? I would want two consecutive weekly closes above about ₹306, the 30-week average, on volume above the 30-day average, with that average starting to rise again, and the 200-day average near ₹299.5 retaken on the way up. That would tell me the September and October buyers who are sitting on losses have been absorbed. But notice

the trap in it. At ₹306, our probability-weighted value of ₹278 would be about 9% below the price. So a technical turn would not be a reason to buy; it would be a reason to reopen the underwriting, and it would take better numbers from the business, not just a better chart, to make the arithmetic work. That is why the alert I set is a re-underwrite alert, not a purchase order.

The options market gives us nothing here either. PCBL is not in the NSE futures and options segment, and the snapshot found no liquid listed options chain, so there is no way to express a view with defined risk. Any position would be cash equity with full downside exposure, which is one more reason to be patient. I should also tell you that there was no open TradingView chart in the browser when I ran this work, so my multi-timeframe read comes from TradingView's technical feed and not from me inspecting the chart on screen. The chart embedded in the report is yours to look at, but my conclusion rests on the numbers, not the picture.

One more lesson from 29 July. When a stock jumps 15% on results day on forty times normal volume, the temptation is to read it as the market's considered verdict on a new earnings level. The Q1 FY27 quarter did print a carbon black EBITDA of ₹22,900 a tonne, but management said on that call that the spot gains were linked to how crude behaved and might moderate. The next quarter came in at ₹17,500 a tonne after stripping out a ₹2,300 tariff refund. The market's own behaviour agreed with the cautious reading: the stock was back at ₹317.90 within two sessions. I would treat any future spike of that kind the same way. Wait for two or three weeks of closes to confirm it before you let it change your mind.

There is also a practical habit I would like you to take from this chapter. Look at the levels above the price, not only the ones below it. Between ₹299 and ₹312 sit the 200-day average, the 50-day average, the weekly 30-week and 40-week lines and the 200-day exponential average, all within 10% of today's close. Everyone who bought in September and October at ₹310 to ₹340 is underwater, and a person who is underwater often sells the first time the price gets back near his entry. That is overhead supply, and it is the reason a rally from here has to do real work before it counts as a trend. The levels below the price are thinner: the scanner's ₹253.77 is a calculated pivot, and the only place where buyers demonstrably stepped in is the March low around ₹226.50.

Put it together and the tape and the valuation tell the same story from different directions. The valuation says the stock is priced for a recovery in earnings that has not yet arrived. The tape says that the people who own it are selling into rallies and that the people who might buy it are waiting. The decision follows: no new money today, a sizing table that returns zero, and a watch list of specific levels and results that would reopen the question. In Chapter 9 I will give both sides their best case, weigh them, and set the alerts.

> **NARRATOR'S REFLECTION**
>
> A good company and a good entry are different questions. PCBL may well be a decent cyclical business at the right price, but the chart says buyers have not yet shown up at this one. Waiting for the tape to improve, or for the price to fall to a level where we would reopen the file, is not timidity; it is declining to pay for a recovery that has not been earned.

> **NARRATOR'S REFLECTION**
>
> A reward-to-risk ratio is only as honest as the stop it is built on. When the stop sits inside one day of ordinary movement, a high ratio measures how close the stop is, not how good the trade is. Always ask where the stock would have to go to prove you wrong, and then see whether the ratio survives.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"“Price is what you pay. Value is what you get.”"*
>
> — WARREN BUFFETT, BERKSHIRE HATHAWAY SHAREHOLDER LETTER, 2008

Let us sit down together with everything we have learned and ask the plain question: if you walked into the room today with fresh cash, would you buy PCBL at ₹282.55? I want to answer that the way a fair-minded analyst should, by first arguing the bull's side as well as the bull would, then the bear's, and only then telling you what I think. We have spent eight chapters collecting the evidence. This is where it has to become a decision.

Start with the bull, because the bull has real material. Walk through the plant in your mind. In FY2026 the company shipped a record 618,956 tonnes of carbon black from a 900,000-tonne system, and in the latest quarter it ran at roughly 60% of that nameplate, not because customers vanished but because management chose to let low-margin spot orders go. The chief financial officer, Raj Gupta, said on 2 November 2026: “We are not chasing volumes. We would rather keep this capacity spare.” A bull hears that and sees operating leverage waiting to be switched on. When a plant is 60% full, every extra tonne at the same margin costs very little to make, and every extra thousand rupees of margin per tonne on 650,000 tonnes is another 65 crore of EBITDA.

The bull has more. Managing Director Nilesh Koul said on 2 November 2026: “We reiterate our guidance of double-digit growth in average EBITDA per tonne over FY26 levels.” Strip out the tariff refund and the underlying quarter was about ₹17,500 a tonne, well above the ₹14,939 of FY2026. Power sold at ₹5.34 a unit against ₹3.76 a year earlier. The American tariff on Indian exports fell, which restores a cost advantage over China. Aquapharm, the specialty chemicals business bought for ₹3,800 crore, earned ₹162 crore last year against the ₹250 to 300 crore management promised; if it climbs back to ₹260 crore, that alone adds about ₹30 a share. Capex is down to roughly ₹300 crore, so debt can fall. And there is a battery-materials option that our numbers give no credit at all. In the bull case the shares are worth ₹462.

Before we do, notice what the bull case asks of you: three things at once, namely volume back near 82% of nameplate, margin per tonne close to the FY2025 level of ₹19,930, and an Aquapharm recovery that has missed every target so far. Each is possible. All three together is a 22% proposition, not a certainty. Now turn the chair around and listen to the bear. The bear starts with the balance sheet, because that is where the margin for error lives. Net debt was 4.4 times operating profit excluding other income at March 2026 and still about 4.1 times in September (4.2 and 3.95 times on company EBITDA including other income), and all three rating agencies, CRISIL, ICRA and CARE, hold AA with a negative outlook. CARE says plainly that it wants total debt below 4 times profit on a sustained basis; on trailing company EBITDA that ratio is 4.15 times today. Then there is the acquisition record. Chairman Sanjiv Goenka said on 28 November 2023: “Over the next 30 months, the cash flows from the two combined businesses would be more than enough to pay this entire money.” Month 28 has come and gone, net borrowings are still ₹4,536 crore, and Aquapharm earns less per year than the interest on the money borrowed to buy it.

The bear then adds the dividend. In FY2026 the company paid out 114% of its consolidated profit, funded by a working-capital release and promoter warrant money, and the chief financial officer said on 3 February 2026 that “the board has decided not to reduce dividend payout for now.” You and I should not treat a 2.12% yield as a floor under the share price; it is a policy that cash flow has not yet covered. Add the operating story. Half-year EBITDA of ₹710 crore looks like 18% growth, but strip out the inventory gain and the tariff refund and it is flat. Volume fell 17% in the second quarter. India is adding carbon black capacity more than twice as fast as demand is growing. Group investments earning a fraction of the cost of debt and heavy related-party power sales make the governance question a live one, though nothing here is hidden. Return on capital is about 8% against our 10% hurdle. And the chart has already voted: a 6% drop on heavy volume on 23 October, and a price under the 30-week average.

So which side is right? Neither wins outright, and that is exactly why I would rather give you probabilities than adjectives. We assign 30% to a bear world worth ₹137 a share, 48% to a base world worth ₹281, and 22% to a bull world worth ₹462. Multiply through and the weighted value is ₹278, which is 1.7% below today's ₹282.55. Read that again. The price is not wrong in an obvious way; it sits 0.7% above the base case, in the middle of the

distribution. You would be paid nothing in expectation to carry a 30% chance of losing about half your money. I should be honest about what is fact and what is inference here. The volumes, the debt, the ratings and the dividend are audited facts. The probabilities, multiples and Aquapharm recovery are my judgment, and I would defend each, but you should not mistake them for guidance from the company.

Let me stress my own answer, because you should never trust a model that has not been attacked. Suppose the base case sells 575 thousand tonnes, the run-rate of the first half, instead of 650 thousand. The weighted value falls to about ₹259, and a buyer at ₹225 earns 15% over two years instead of 23%. Suppose the base multiple is 10 times instead of 12. The weighted value falls to ₹246 and the same buyer earns 9%. Only one change in my list, moving probability from the base to the bull case, lifts the weighted value above today's price, and then only to about ₹287. The conclusion survives. Three limits remain. The base case needs about ₹300 crore of debt reduction that no filing promises. The returns ignore dividends. And a gap through the cancel level would cost more than the stop arithmetic shows.

Then there is the question of time horizon, which people often blur. If you are a trader, you need a repaired chart, and PCBL has none: it is under the 30-week and 50-day averages, relative strength against the Nifty is negative by almost 15 points over three months, and the four-hour chart has not turned. My answer for that horizon is to avoid it, because there is no edge. If you are a medium-term investor, the answer is conditional. The per-tonne margin is recovering, but volume, Aquapharm and debt have not caught up, so we need one clean results season: Q3 FY27 should show EBITDA per tonne of at least ₹17,000 without one-offs, volume of 150,000 tonnes or more in the quarter, Aquapharm EBITDA of ₹55 crore or more, and total debt below 4 times LTM company EBITDA, which is 4.15 times today on CARE's own basis. If you are a long-term owner, the verdict is not proven. A compounder earns more than its cost of capital through a cycle, and since the Aquapharm deal this group has earned about 1.4% incrementally on new capital.

That brings us to the decision, and to what REJECTED means, as the Prologue set out. The carbon black franchise earned 16% to 23% pre-tax returns for six years before the deal. REJECTED means the price does not pay for the risk, and the technical shelf does not fix

that. The screen shows a support band of ₹249.96 to ₹257.58 with a stop at ₹248.83. That stop is less than one ordinary day's range below the top of the band, so the 2.7-to-1 reward-to-risk ratio on paper is an artifact of a stop that noise can hit. Move the stop to the 52-week low near ₹226.50 and the ratio drops to about 0.75 to 1. Even from the top of that shelf, expected return over two years is about 8%, with a 47% loss in the bear case. That is not an edge.

What would I do instead? Wait for a price that pays for the risk. The valuation watch zone is ₹205 to ₹225. From ₹225 the weighted value of ₹278 offers about 23% over two years, with a structural cancel level at a weekly close below ₹190 and a reward-to-risk of 1.6 to 1 against that stop; from ₹205 it offers about 35%. This is a watch zone and not a buy order, and it sits below the March low of ₹226.50, so any entry there would also need a repaired weekly structure and a valid stop first. And PCBL is not held in any account, so there is nothing to sell and no stop to defend. The alerts are simple. A technical alert fires on two weekly closes above ₹306.2 with volume. A fundamental alert fires if Q3 FY27, due roughly late January to February 2027, clears the thresholds above. A valuation alert fires inside the zone. And we stand down on a weekly close under ₹190, a rating cut below AA, or a debt-funded dividend or capex announcement. Each alert opens a review, never an automatic purchase.

Where could I be wrong? Three ways. Crude and spreads could stay elevated and make the ₹17,500 per tonne durable, which would make my 22% bull weight too small. Volume discipline could pay off as spot buyers return at better prices. Or the market could re-rate the shares before the numbers arrive, and I would sit and watch. I accept that, because declining is cheap to reverse and a 30% chance of a 51% loss is not. Koul's own words on 30 April 2026 give the bull's best argument: “Spread appear to have found a floor, exit quarter momentum has turned positive, the recent rationalization of U.S. tariffs has restored a meaningful cost advantage for Indian exports.” If the next two results confirm it, I will say so and re-underwrite.

Redeployment is short because the answer is short. No PCBL position means no proceeds to move, so the next unit of cash stays cash: 100% cash, none for AJMERA, none for an outside name. AJMERA has its own dossier and its own entry band of ₹124.62 to ₹132.23, and its live close of ₹133.28 sits just above that band, so this report does not override it. The peers

we screened, Himadri, SRF, Aarti Industries and Deepak Nitrite, are either in Stage 4, or carry a high multiple, or earn too little on capital, and none clears the bar without its own underwriting. Cash is not idleness; it is keeping the decision reversible until evidence arrives. A reader who has just finished eight chapters of detailed work may feel that doing nothing wastes the effort. It does not. The work produced a price at which the odds start to pay, a list of facts that would move the odds, and a clear reason, the gap between the base case and the quote, why today is not the day.

Finally, here is how I would watch the story from the sidelines. At each quarter read six things: volume, carbon black EBITDA per tonne without one-offs, Aquapharm's quarterly EBITDA, total debt against company EBITDA, the rating agencies' annual reviews, and the status of the anti-dumping duty on two phosphonates. Add battery-material qualification news whenever it comes. If those six improve together, the base case moves toward the bull and the price I am willing to pay rises. If they do not, ₹205 to ₹225 is where the risk begins to pay you. This is an advisory research view, not a broker order; when an alert fires, review the facts before you act, and do not trade on the alert itself.

Current holding decision: NOT HELD. 0 shares in the positions ledger; no current holding to trim or exit.. The same-session positions ledger shows no PCBL shares in any account, so there is nothing to hold, trim or exit and no stop to set. The REJECTED verdict applies only to new capital: at ₹282.55 the price already equals our base case (₹281), the probability-weighted value is about ₹278, and the trend is broken. The valuation watch zone of ₹205–225 is a re-underwrite level, not an order. Alert plan: Two consecutive weekly closes above the 30-week average (about ₹306) and the 200-day average (about ₹299.5) on volume above the 30-day average, with the 30-week average still rising — Re-underwrite the technical gate and the valuation; no automatic purchase and no shares are held.; Q3 FY2027 results show carbon black EBITDA per tonne ex one-offs of at least ₹17,000 on at least 150,000 tonnes, Aquapharm EBITDA of at least ₹55 Cr and total debt below 4 times LTM company EBITDA (4.15x at September 2026, CARE's own trigger basis) — Re-run the business-quality audit and reverse DCF; results date not yet announced (expected late January to February 2027).; Close inside the valuation watch zone ₹205–225 with weekly closes still above ₹190 — Re-underwrite for a staged entry only: at ₹225 the probability-weighted ₹278 would offer about 23% over two years and at ₹205 about 35%.; Weekly close below ₹190, a rating downgrade

below AA, or a debt-funded dividend or capex announcement — Cancel the watch and stay in cash until a new base and fresh evidence form. Capital redeployment: 100.00% to CASH (CASH): Retain the entire next marginal unit in cash.; Deploy only when an equity candidate clears current evidence, technical and reward-to-risk gates in its own underwriting.; 0.00% to AJMERA (SHORTLIST): No allocation from this dossier; AJMERA is the nearest clear alternative and follows its own dossier.; Act only on AJMERA's own dossier levels (band ₹124.62–132.23, stop ₹120.00); other clear scans today (COFORGE, APLAPOLLO, YASHHV, ZYDUSLIFE, MANORAMA) are likewise governed by their own cards.; 0.00% to OUTSIDE (OUTSIDE): No outside candidate is funded.; Fund an outside name only after a separate evidence-backed review shows current entry asymmetry.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): PCBL has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

> **NARRATOR'S REFLECTION**
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> You and I can respect the business and still decline the quote. The weighted value of ₹278 is almost exactly the ₹282.55 price, and the one asymmetric fact is the 30% chance of a 51% loss. A good company bought at its base-case price is not a bargain, it is a fair trade with a bad tail.

> **NARRATOR'S REFLECTION**
>
> REJECTED judges the price, never the people running the plants. If Q3 FY27 delivers ₹17,000 a tonne, 150,000 tonnes and ₹55 crore from Aquapharm, our base case moves and we say so. If the price falls into ₹205 to ₹225 first, the odds start to pay for the risk. Until then, patience is the position.

Notes, Filings & Primary Sources

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